

**College Community School District
Cedar Rapids, Iowa**

Financial and Compliance Report
Year Ended June 30, 2025

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College Community School District

Board of Education and School District Officials
Year Ended June 30, 2025

Name	Title	Term Expires
Board of Education		
Randy Bauer	President	2027
Todd Hahlen	Vice President	2025
Angie Ehle	Board Member	2027
Tobey Harrison	Board Member	2025
Mark Cannon	Board Member	2027
Dawn Kousheh	Board Member	2027
School District Officials		
Dr. Doug Wheeler	Superintendent	2025
Angie Morrison	Chief Financial Officer	2025

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Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

Independent Auditor's Report

To the Board of Education
College Community School District
Cedar Rapids, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the College Community School District, Iowa as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the College Community School District, Iowa, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of College Community School District, Iowa and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 15 to the financial statements, the District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities, business type activities, nonmajor enterprise funds School Nutrition and Day Care net position were restated.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the College Community School District, Iowa's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of College Community School District, Iowa's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about College Community School District, Iowa's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of changes in the District's total OPEB liability and related ratios and schedules of the District's proportionate share of the net pension liability and District contributions for the Iowa Public Employee's Retirement System, and budgetary comparison information, on pages 4–14 and 59-68 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the College Community School District, Iowa's basic financial statements. The supplementary information as listed in the table of contents and the Schedule of Expenditures of Federal Awards required by Title 2, *U.S. Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated February 16, 2026, on our consideration of the College Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the College Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering College Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

East Moline, Illinois
February 16, 2026

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College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

College Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

2024-25 Financial Highlights

- The District's net position for governmental activities was \$62,567,667 at June 30, 2025, compared to a restated net position of \$57,565,648 at June 30, 2024, an increase of \$5,002,019 or 8.7 percent.
- The District's net position for business-type activities was \$2,112,962 at June 30, 2025 compared to restated \$2,634,358 at June 30, 2024, a decrease of \$521,396 or 19.8 percent.
- The District's bonded debt, including premiums, and equipment note increased \$34,185,076 due to the issuance of \$43,000,000 general obligation bonds.
- The District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities, business type activities, nonmajor enterprise funds School Nutrition and Day Care net position were restated.

Using this Annual Report

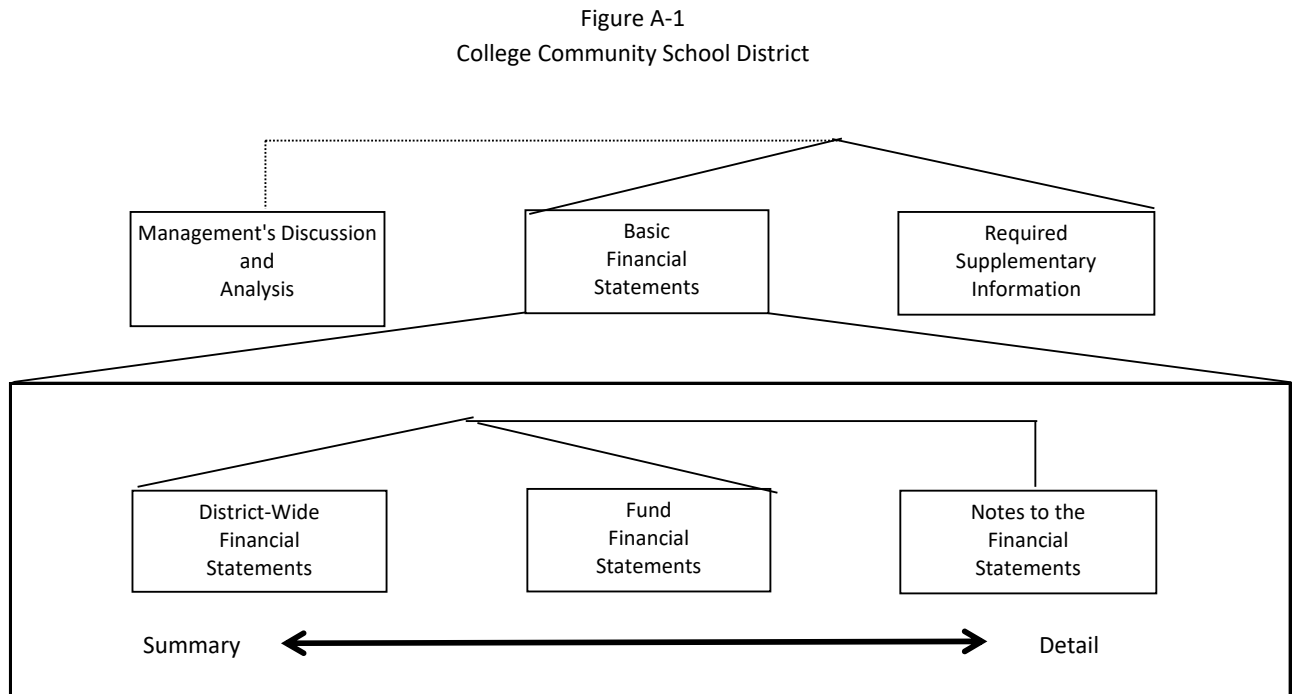
The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of College Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report the District's operations in more detail than the government-wide statements by providing information about the most significant funds.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds and nonmajor enterprise funds.

College Community School District

**Management's Discussion and Analysis
Year Ended June 30, 2025**

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Reporting the District's Financial Activity

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets and deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or position.

- Over time, increases or decreases in the District's net position are an indicator of whether its financial position is improving or deteriorating, respectively.
- To assess the District's overall health, you need to consider additional non-financial factors such as changes in the District's property tax base and condition of school buildings and other facilities.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's food service program, day care, resale, and student built house activities would be included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, (such as repaying its long-term debts) or to show that it is properly using certain revenues, (such as federal grants).

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the Government-wide statements, additional information in the notes to financial statements explains the relationship (or differences) between them.
- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the Government-wide financial statements. The District's Enterprise Funds (one type of proprietary fund) are the same as its business-type activities but provides more detail and additional information, such as cash flows. The District uses internal service funds, the other kind of proprietary fund, to report

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

activities that provide supplies and services for other District programs and activities. The District currently has two internal service funds, which are used to account for the District's print shop and dental flex benefits. The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial funds: These are the funds for which the District accounts for certain revenue collected for the Foundation and related expenses and revenues and expenses for other various parent group accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes. District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position and a statement of and changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Government-Wide Financial Analysis

Net position is an indicator of the fiscal health of the District. The District's net position increased by 7 percent, increasing from a restated net position of \$60,200,006 at June 30, 2024, to \$64,680,629 at June 30, 2025. Figure A-3 below provides a summary of the District's net position as of June 30, 2025 compared to June 30, 2024.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change 2024-2025
	2025	Restated 2024	2025	Restated 2024	2025	Restated 2024	
Current and other assets	\$ 113,159,856	\$ 91,194,819	\$ 3,873,522	\$ 4,498,468	\$ 117,033,378	\$ 95,693,287	22%
Capital assets	251,754,677	233,427,031	747,413	690,092	252,502,090	234,117,123	8%
Total assets	364,914,533	324,621,850	4,620,935	5,188,560	369,535,468	329,810,410	12.0%
Deferred outflows of resources	9,092,962	11,493,902	671,818	774,112	9,764,780	12,268,014	-20%
Long-term obligations	247,710,615	217,784,983	2,376,977	2,541,118	250,087,592	220,326,101	14%
Other liabilities	7,609,729	7,071,437	215,305	253,018	7,825,034	7,324,455	7%
Total liabilities	255,320,344	224,856,420	2,592,282	2,794,136	257,912,626	227,650,556	13%
Deferred inflows of resources	56,119,484	53,693,684	587,509	534,178	56,706,993	54,227,862	5%
Net position:							
Net investment in capital assets	66,814,747	59,863,011	747,413	690,092	67,562,160	60,553,103	12%
Restricted	26,852,506	27,763,868	-	-	26,852,506	27,763,868	-3%
Unrestricted	(31,099,586)	(30,061,231)	1,365,549	1,944,266	(29,734,037)	(28,116,965)	-6%
Total net position	\$ 62,567,667	\$ 57,565,648	\$ 2,112,962	\$ 2,634,358	\$ 64,680,629	\$ 60,200,006	7%

Net investment in capital assets, such as land, buildings, machinery and equipment, less any outstanding debt used to acquire those assets is \$67,562,160. These assets are considered non-spendable since they represent capital assets used to provide services to students. The resources needed to pay the obligations from the debt related to these assets must be provided from other resources. \$26,852,506 of net position has external restrictions on how the funds may be used. The deficit remaining balance of \$29,734,037 represents unrestricted net position.

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Unrestricted net position remains at a deficit net position due to the District's net pension liability and other postemployment benefit liability and the related deferred inflows of resources.

As mentioned before, restricted net position represents resources that are subject to external restrictions such as enabling legislation or constitutional provisions. The District's restricted net position decreased \$911,362 or 3% from the prior year due to expending school infrastructure and physical plant and equipment levy accumulations.

Unrestricted net position represents the assets that can be used to finance day-to-day operations without constraints established by debt restrictions, enabling legislation or other legal binding requirements. Unrestricted net position decreased \$1,617,072, or -6 percent. Unrestricted net position decreased primarily due to the increase in the deferred inflows of resources related to the state pension plan exceeding the increase of deferred outflows of resources related to the state pension plan.

The following figure shows changes in net position for the year ended June 30, 2025, compared to the year ended June 30, 2024.

Figure A-4 Changes in Net Position From Operating Results

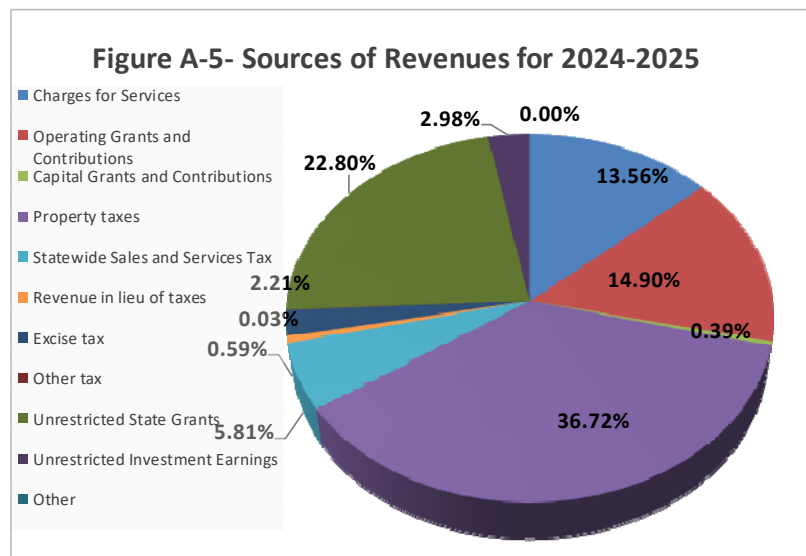
	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Not Restated		Not Restated		Not Restated		
	2025	2024	2025	2024	2025	2024	2024-2025
Revenues:							
Program revenues:							
Charges for services	\$ 10,498,687	\$ 9,209,477	\$ 5,169,237	\$ 4,881,850	\$ 15,667,924	\$ 14,091,327	11.2%
Operating grants, contributions and restricted interest	14,739,708	12,710,526	2,479,856	2,731,602	17,219,564	15,442,128	11.5%
Capital grants, contributions and restricted interest	450,000	691,167	-	17,500	450,000	708,667	-36.5%
General revenues:							
Property taxes	42,429,356	38,700,407	-	-	42,429,356	38,700,407	9.6%
Revenue in lieu of taxes	677,454	603,100	-	-	677,454	603,100	12.3%
Statewide sales and services tax	6,712,925	6,781,646	-	-	6,712,925	6,781,646	-1.0%
Excise tax	2,558,332	2,482,008	-	-	2,558,332	2,482,008	3.1%
Other tax	37,026	35,753	-	-	37,026	35,753	0.0%
Unrestricted state grants	26,341,688	26,571,884	-	-	26,341,688	26,571,884	-0.9%
Unrestricted investment earnings	3,268,562	3,056,186	175,363	195,435	3,443,925	3,251,621	5.9%
Other	1,862	15,783	-	-	1,862	15,783	-88.2%
Total revenues	107,715,600	100,857,937	7,824,456	7,826,387	115,540,056	108,684,324	6.3%
Expenses:							
Instruction	53,316,870	49,522,988	-	-	53,316,870	49,522,988	7.7%
Support services	29,969,224	28,101,122	-	-	29,969,224	28,101,122	6.6%
Noninstructional	-	-	8,345,852	7,656,862	8,345,852	7,656,862	9.0%
Other	19,427,487	15,800,220	-	-	19,427,487	15,800,220	23.0%
Total expenses	102,713,581	93,424,330	8,345,852	7,656,862	111,059,433	101,081,192	9.9%
Change in net position	5,002,019	7,433,607	(521,396)	169,525	4,480,623	7,603,132	-41.1%
Net position, beginning, as restated	57,565,648	58,485,576	2,634,358	2,696,064	60,200,006	61,181,640	-1.6%
Net position, ending	\$ 62,567,667	\$ 65,919,183	\$ 2,112,962	\$ 2,865,589	\$ 64,680,629	\$ 68,784,772	-6.0%

College Community School District

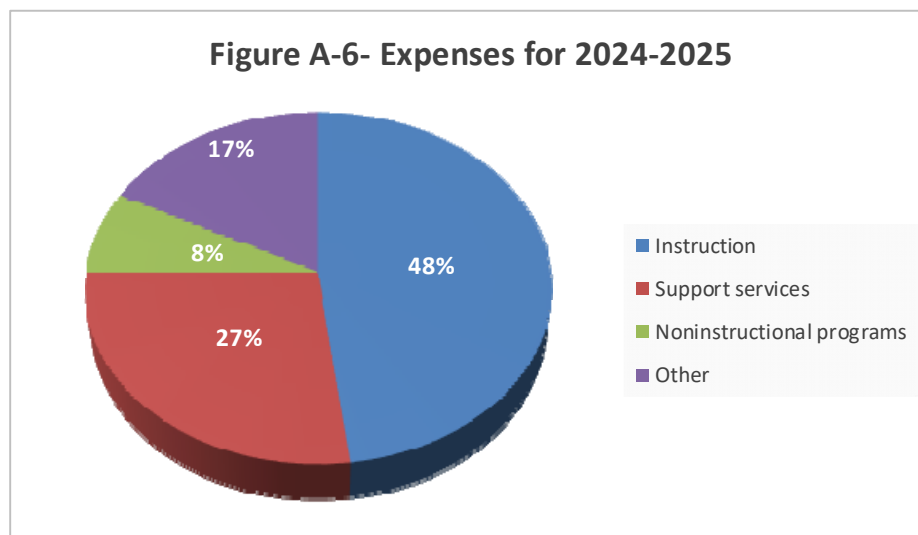
Management's Discussion and Analysis Year Ended June 30, 2025

During fiscal year 2025, property tax, revenue in lieu of taxes, stateside sales and services tax, excise tax, other tax and unrestricted state grants accounted for 73.1 percent of governmental activities revenue while charges for service, operating and capital grants, contributions and restricted interest and investment earnings accounted for all of business type activities revenue.

The District as a whole experienced a 6.3 percent increase in revenue while experiencing a 9.9 percent increase in expenses. The District's total revenue was \$115,540,056 of which \$107,715,600 was for governmental activities, while the remaining \$7,824,456 was for business-type activities. Property taxes and unrestricted state grants account for most of the District's revenue, with each contributing approximately 39 and 23 percent of the total District revenue. (See figure A-5).



The total cost for all programs and services increased 9.9 percent to \$111,059,433. The District's total expenses are listed in Figure A-6. The chart shows that the majority of the District's expenses (75 percent) are devoted to instruction and support services.



College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Governmental Activities

Revenues for the District's governmental activities increased \$6,857,663 or 6.8 percent, while expenses increased 9.9 percent. Revenues increased due to an increase in property taxes of \$3,728,949 and an increase in operating grants and contributions of \$2,029,182. The increase in expenses is due to increases in wages and benefits of approximately 3-7 percent.

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Figure A-7 Net Cost of Governmental Activities

			Percentage			Percentage
	Total Cost of Services		Change	Net Cost of Services		Change
	Not Restated			Not Restated		
	2025	2024		2025	2024	
Instruction	\$ 53,316,870	\$ 49,522,988	7.7%	\$ (31,022,183)	\$ (31,184,790)	-0.5%
Support services	29,969,224	28,101,122	6.6%	(28,639,490)	(26,461,363)	8.2%
Other	19,427,487	15,800,220	23.0%	(17,363,513)	(13,167,007)	31.9%
Total	\$ 102,713,581	\$ 93,424,330	9.9%	\$ (77,025,186)	\$ (70,813,160)	8.8%

For the year ended June 30, 2025:

- The cost financed by users of the District's programs was \$10,498,687.
- Federal and state governments subsidized certain programs with grants and contributions as well as contributions from local sources totaling \$15,189,708.
- The net cost of governmental activities was financed with \$42,429,356 in property tax, \$677,454 revenue in lieu of taxes, \$2,558,332 in excise tax, \$37,026 in other tax, \$6,712,925 in statewide sales, services and use tax, \$26,341,688 in unrestricted state grants, and \$3,268,562 in unrestricted interest.

Business-Type Activities

Revenues of the District's business type activities decreased slightly to \$7,824,456 while expenses increased by 9.0 percent or \$688,990 (Refer to Figure A-4). School nutrition, day care, resale, and student built house are the District's four business-type activities. The revenues can be broken down into five main categories; charges for service, miscellaneous, federal and state reimbursements, donations and investment income. Revenue primarily decreased due to a decrease in investment earnings from declining interest rates and less operating and capital grants.

The District's business type activities net position decreased from \$2,634,358 at June 30, 2024 to \$2,112,962 at June 30, 2025, a decrease of \$521,396 or 19.8 percent. The increase in expenses is due to increases in wages and benefits and cost of supplies.

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Governmental Fund Highlights

At the end of fiscal year 2025, the District's governmental funds reported combined ending fund balances of \$57,501,746, an increase of \$19,385,632 from the prior year. A closer look at each individual major governmental fund reveals the following:

- The General Fund fund balance decreased from \$9,206,351 on June 30, 2024, to \$5,215,707 on June 30, 2025. Revenues increased \$3,775,963 due to increases in property taxes and tuition. General Fund expenditures increased by \$4,262,208 due to increases in salaries and benefits.
- The Management Levy Fund fund balance increased from \$7,979,873 on June 30, 2024 to \$10,048,429 on June 30, 2025. The fund had total revenues of \$4,954,052 primarily from a property tax levy, compared to \$2,882,996 of expenditures.
- The Capital Projects Fund fund balance increased from \$17,823,541 on June 30, 2024 to \$38,931,244 on June 30, 2025. The increase in overall Capital Projects Fund balance can be attributed to the issuance of \$43,000,000 general obligation bonds.
- The Debt Service Fund fund balance increased from \$2,416,959 on June 30, 2024, to \$2,683,105 on June 30, 2025. The increase is due to revenue and the transfer in from the Capital Projects Fund exceeding debt service expenditures.

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except the internal service and custodial funds. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared according to U.S. Generally Accepted Accounting Principles.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report. Since the District does not adopt a budget for individual funds, budgets for the General Fund and major Special Revenue Funds are not presented in the budgetary comparison.

By April 15th of each year, the budget must be adopted by the Board of Directors for the fiscal year beginning July 1 through June 30, which immediately follows. Because there are a number of unknowns at that time, such as State revenue allocations, insurance premiums, negotiated employee contracts, enrollment increase, and construction project invoicing, the District has the ability to amend its budget before May 31st of each year.

The District amended the original budget to increase expenditures \$4,000,000. Revenues exceeded the final budget by \$8,788,601 due to more local sources than expected. Expenditures were less than the final budget by \$4,106,809 due to the timing of capital projects.

The District exceeded the amended budget in the instruction function by \$149,378.

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Capital Asset Administration

By the end of fiscal year 2025, the District had invested, net of depreciation, approximately \$253 million in various capital assets including land, buildings, vehicles and equipment (See Figure A-8). This amount represents a net increase of \$18,384,967 or 7.9 percent over the previous fiscal year. Major capital additions in the current year included busses, kitchen equipment, the YMCA, 9th grade center, and high school roof.

Figure A-8 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2025	2024	2025	2024	2025	2024	2024-2025
Land	\$ 9,477,926	\$ 9,477,926	\$ -	\$ -	\$ 9,477,926	\$ 9,477,926	0.0%
Construction in progress	19,161,018	30,096,106	-	-	19,161,018	30,096,106	-36.3%
Buildings	210,309,758	183,269,990	-	-	210,309,758	183,269,990	14.8%
Improvements	6,675,531	6,976,629	-	-	6,675,531	6,976,629	-4.3%
Machinery and equipment	4,779,913	3,495,542	747,413	690,092	5,527,326	4,185,634	32.1%
Right to use lease asset	1,340,375	41,510	-	-	1,340,375	41,510	3129.0%
Right to use IT subscription	10,156	69,328	-	-	10,156	69,328	-85.4%
Total	\$ 251,754,677	\$ 233,427,031	\$ 747,413	\$ 690,092	\$ 252,502,090	\$ 234,117,123	7.9%

More detailed information on capital asset activity can be found in Note 5 to the basic financial statements.

Long-Term Liabilities

At year end, the District had \$218,929,288 in long-term debt, an increase of \$35,147,911 from the previous fiscal year. \$14,761,380 of the District's long-term debt is due within one year.

Figure A-9 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2025	Restated 2024	2025	Restated 2024	2025	Restated 2024	2024-2025
General obligation bonds	\$ 149,125,000	\$ 112,900,000	\$ -	\$ -	\$ 149,125,000	\$ 112,900,000	32.1%
Revenue bonds	54,604,000	56,999,000	-	-	54,604,000	56,999,000	-4.2%
Equipment note	854,889	100,785	-	-	854,889	100,785	748.2%
Bond premiums, net of amortization	4,266,063	4,665,091	-	-	4,266,063	4,665,091	-8.6%
Lease obligation	1,369,667	43,114	-	-	1,369,667	43,114	3076.8%
IT subscription obligation	5,491	10,587	-	-	5,491	10,587	-48.1%
Early retirement	405,850	413,943	-	-	405,850	413,943	-2.0%
Compensated absences	8,065,169	8,413,711	233,159	235,146	8,298,328	8,648,857	-4.1%
Total	\$ 218,696,129	\$ 183,546,231	\$ 233,159	\$ 235,146	\$ 218,929,288	\$ 183,781,377	19.1%

More detailed information on the District's long-term liabilities can be found in Note 6 to the basic financial statements.

College Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could significantly affect its financial health in the future:

- The District has budgeted expenditures for fiscal year 2026 of \$148,499,555.
- The District's assessed valuation prior to rollback with exemptions for fiscal year 2026 is \$5,311,148,118 compared to \$5,103,174,262 for fiscal year 2025.
- The state legislature set supplemental state aid at 2.0% for Iowa schools in 2025-2026.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Chief Financial Officer, College Community School District, 401 76th Avenue SW, Cedar Rapids, Iowa 52404.

College Community School District

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 52,588,774	\$ 3,866,055	\$ 56,454,829
Receivables:			
Property tax:			
Delinquent	183,374	-	183,374
Succeeding year	47,427,234	-	47,427,234
Accounts	42,438	64,170	106,608
Due from other governments	6,542,845	-	6,542,845
Internal balances	411,696	(411,696)	-
Inventories	25,403	354,993	380,396
Restricted cash and pooled investments	5,938,092	-	5,938,092
Capital assets:			
Nondepreciable	28,638,944	-	28,638,944
Depreciable, net	223,115,733	747,413	223,863,146
Total assets	364,914,533	4,620,935	369,535,468
Deferred outflows of resources:			
OPEB related deferred outflows	2,155,548	159,258	2,314,806
Pension related deferred outflows	6,937,414	512,560	7,449,974
Total deferred outflows of resources	9,092,962	671,818	9,764,780

See Notes to Basic Financial Statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Accounts payable	6,766,972	41,184	6,808,156
Salaries and benefits payable	281,286	124,792	406,078
Unearned revenue	-	49,329	49,329
Accrued interest	561,471	-	561,471
Long-term liabilities:			
Portion due within one year:			
General obligation bonds	6,695,000	-	6,695,000
Revenue bonds	2,460,000	-	2,460,000
Lease obligation	109,935	-	109,935
IT subscription obligation	5,491	-	5,491
Equipment note	295,390	-	295,390
Compensated absences	4,677,798	111,916	4,789,714
Early retirement	405,850	-	405,850
Total OPEB liability	494,297	35,797	530,094
Portion due after one year:			
General obligation bonds	146,157,487	-	146,157,487
Revenue bonds	52,682,576	-	52,682,576
Lease obligation	1,259,732	-	1,259,732
Equipment note	559,499	-	559,499
Compensated absences	3,387,371	121,380	3,508,751
Net pension liability	19,089,500	1,410,392	20,499,892
Total OPEB liability	9,430,689	697,492	10,128,181
Total liabilities	255,320,344	2,592,282	257,912,626
Deferred inflows of resources:			
Succeeding year property tax	47,427,234	-	47,427,234
Pension related deferred inflows	211,567	15,632	227,199
OPEB related deferred inflows	7,740,280	571,877	8,312,157
Deferral on refunding	740,403	-	740,403
Total deferred inflows of resources	56,119,484	587,509	56,706,993
Net Position			
Net investment in capital assets	66,814,747	747,413	67,562,160
Restricted for:			
Categorical funding	403,698	-	403,698
Debt service	2,791,574	-	2,791,574
School infrastructure	11,054,473	-	11,054,473
Physical plant and equipment levy	1,931,071	-	1,931,071
Management levy	10,048,429	-	10,048,429
Student activities	623,261	-	623,261
Unrestricted	(31,099,586)	1,365,549	(29,734,037)
Total net position	\$ 62,567,667	\$ 2,112,962	\$ 64,680,629

College Community School District

Statement of Activities
Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues	
		Charges for Services	Operating Grants and Contributions
Governmental activities:			
Instruction:			
Regular	\$ 35,815,108	\$ 6,404,686	\$ 9,823,749
Special	10,272,643	3,196,837	94,077
Other	7,229,119	873,653	1,901,685
Total instruction	53,316,870	10,475,176	11,819,511
Support services:			
Student services	1,967,628	-	856,223
Instructional staff	5,719,763	14,393	-
Administration services	8,767,712	4,456	-
Operation and maintenance of plant services	8,251,867	-	-
Student transportation	5,262,254	4,662	-
Total support services	29,969,224	23,511	856,223
Other expenses:			
AEA flowthrough	2,063,974	-	2,063,974
Depreciation (unallocated)*	10,194,835	-	-
Long-term debt interest	7,168,678	-	-
Total other expenses	19,427,487	-	2,063,974
Total governmental activities	102,713,581	10,498,687	14,739,708
Business-type activities:			
School nutrition	4,269,089	1,642,452	2,195,355
Day care	3,826,552	3,342,178	284,501
Resale	193,773	184,607	-
Student built house	56,438	-	-
Total business-type activities	8,345,852	5,169,237	2,479,856
Total	\$ 111,059,433	\$ 15,667,924	\$ 17,219,564

General revenues:

Property tax levied for:

General purposes

Management levy

Capital outlay

Debt service

Excise tax

Other tax

Revenue in lieu of taxes

Statewide sales and services tax

Unrestricted state grants

Unrestricted investment earnings

Gain on sale of capital assets

Total general revenues

Change in net position

Net position, beginning of year, as restated

Net position, end of year

* This amount excludes the depreciation included in the direct expenses of the various programs.
See Notes to Basic Financial Statements.

Net (Expense) Revenue and Changes in Net Position				
Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total	
\$ -	\$ (19,586,673)	\$ -	\$ (19,586,673)	
-	(6,981,729)	-	(6,981,729)	
-	(4,453,781)	-	(4,453,781)	
-	(31,022,183)	-	(31,022,183)	
-	(1,111,405)	-	(1,111,405)	
-	(5,705,370)	-	(5,705,370)	
-	(8,763,256)	-	(8,763,256)	
450,000	(7,801,867)	-	(7,801,867)	
-	(5,257,592)	-	(5,257,592)	
450,000	(28,639,490)	-	(28,639,490)	
-	-	-	-	
-	(10,194,835)	-	(10,194,835)	
-	(7,168,678)	-	(7,168,678)	
-	(17,363,513)	-	(17,363,513)	
450,000	(77,025,186)	-	(77,025,186)	
-	-	(431,282)	(431,282)	
-	-	(199,873)	(199,873)	
-	-	(9,166)	(9,166)	
-	-	(56,438)	(56,438)	
-	-	(696,759)	(696,759)	
\$ 450,000	\$ (77,025,186)	\$ (696,759)	\$ (77,721,945)	

24,500,106	-	24,500,106
4,279,474	-	4,279,474
2,702,926	-	2,702,926
10,946,850	-	10,946,850
2,558,332	-	2,558,332
37,026	-	37,026
677,454	-	677,454
6,712,925	-	6,712,925
26,341,688	-	26,341,688
3,268,562	175,363	3,443,925
1,862	-	1,862
82,027,205	175,363	82,202,568
5,002,019	(521,396)	4,480,623
57,565,648	2,634,358	60,200,006
\$ 62,567,667	\$ 2,112,962	\$ 64,680,629

College Community School District

Balance Sheet Governmental Funds June 30, 2025

	General	Management Levy
Assets		
Cash and pooled investments	\$ 1,345,781	\$ 10,459,131
Restricted cash and pooled investments	-	-
Receivables:		
Property tax:		
Delinquent	107,587	18,802
Succeeding year	31,161,823	1,030,003
Other	27,111	-
Due from other governments	5,650,527	-
Due from other funds	300,000	-
Inventories	1,716	-
Total assets	\$ 38,594,545	\$ 11,507,936
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	\$ 1,936,172	\$ 23,654
Salaries and benefits payable	280,843	-
Early retirement	-	405,850
Total liabilities	2,217,015	429,504
Deferred inflows of resources:		
Succeeding year property tax	31,161,823	1,030,003
Grants	-	-
Total deferred inflows of resources	31,161,823	1,030,003
Fund balances:		
Nonspendable:		
Inventories	1,716	-
Restricted for:		
Categorical funding	403,698	-
Debt service	-	-
School infrastructure	-	-
Physical plant and equipment levy	-	-
Management levy	-	10,048,429
Student activities	-	-
Assigned for specific purposes	125,581	-
Unassigned	4,684,712	-
Total fund balance	5,215,707	10,048,429
Total liabilities, deferred inflows of resources, and fund balances	\$ 38,594,545	\$ 11,507,936

See Notes to Basic Financial Statements.

Capital Projects	Debt Service	Nonmajor Student Activity	Total
\$ 38,239,681	\$ 1,330,354	\$ 646,653	\$ 52,021,600
4,628,092	1,310,000	-	5,938,092
11,284	45,701	-	183,374
3,017,958	12,217,450	-	47,427,234
8,302	-	6,632	42,045
892,318	-	-	6,542,845
111,696	-	-	411,696
-	-	-	1,716
<u>\$ 46,909,331</u>	<u>\$ 14,903,505</u>	<u>\$ 653,285</u>	<u>\$ 112,568,602</u>

\$ 4,771,777	\$ 2,950	\$ 29,581	\$ 6,764,134
-	-	443	281,286
-	-	-	405,850
<u>4,771,777</u>	<u>2,950</u>	<u>30,024</u>	<u>7,451,270</u>

3,017,958	12,217,450	-	47,427,234
188,352	-	-	188,352
<u>3,206,310</u>	<u>12,217,450</u>	<u>-</u>	<u>47,615,586</u>

-	-	-	1,716
-	-	-	403,698
4,628,092	2,683,105	-	7,311,197
32,416,392	-	-	32,416,392
1,886,760	-	-	1,886,760
-	-	-	10,048,429
-	-	623,261	623,261
-	-	-	125,581
-	-	-	4,684,712
<u>38,931,244</u>	<u>2,683,105</u>	<u>623,261</u>	<u>57,501,746</u>

\$ 46,909,331	\$ 14,903,505	\$ 653,285	\$ 112,568,602
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College Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2025

Total fund balances of governmental funds	\$	57,501,746
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore are not reported as assets in the governmental funds.	251,753,747
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Internal service funds are used by management to charge the costs of certain services to individual funds. The net position of the Internal Service Fund are included in governmental activities.	589,346
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Other assets are not available to pay current period expenditures and therefore, are deferred in the funds.	188,352
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds as follows:

Deferred outflows of resources related to OPEB	2,155,548	
Deferred inflows of resources related to OPEB	(7,740,280)	
Deferred outflows of resources related to pension	6,937,414	
Deferred inflows of resources related to pension	<u>(211,567)</u>	1,141,115

Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period, and, therefore, are not reported as liabilities in the governmental funds.

General obligation bonds payable	(149,125,000)	
General obligation bond premium	(3,727,487)	
Deferral on refunding	(740,403)	
Revenue bonds	(54,604,000)	
Revenue bonds premium	(538,576)	
Equipment note	(854,889)	
Lease obligation	(1,369,667)	
IT subscription obligation	(5,491)	
Accrued interest payable	(561,471)	
Compensated absences	(8,065,169)	
Net pension liability	(19,089,500)	
Total OPEB liability	<u>(9,924,986)</u>	(248,606,639)
Net position of governmental activities		\$ 62,567,667

See Notes to Basic Financial Statements.

College Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2025

	General	Management Levy
Revenues:		
Local sources:		
Property tax	\$ 24,500,106	\$ 4,279,474
Utility excise tax	1,513,111	267,120
Other tax	20,934	4,038
Tuition	8,459,285	-
Other	1,495,218	332,671
State sources	37,746,763	70,749
Federal sources	1,967,121	-
Total revenues	75,702,538	4,954,052
Expenditures:		
Current:		
Instruction:		
Regular	36,427,876	-
Special	9,654,278	668,589
Other	6,463,579	-
Total instruction	52,545,733	668,589
Support services:		
Student services	2,061,800	-
Instructional staff services	4,162,361	-
Administration services	8,610,970	492,929
Operation and maintenance of plant services	6,967,946	1,496,627
Student transportation	3,232,898	224,851
Total support services	25,035,975	2,214,407
Other expenditures:		
Capital outlay	-	-
AEA flowthrough	2,063,974	-
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
Total other	2,063,974	-
Total expenditures	79,645,682	2,882,996
Excess (deficiency) of revenues over (under) expenditures	(3,943,144)	2,071,056
Other financing sources (uses):		
Issuance of long term debt	-	-
Premium on issuance of long term debt	-	-
issuance of lease	-	-
Issuance of equipment note	-	-
Proceeds from sale of capital assets	-	-
Interfund transfers in	2,500	-
Interfund transfers (out)	(50,000)	(2,500)
Total other financing sources (uses)	(47,500)	(2,500)
Net change in fund balance	(3,990,644)	2,068,556
Fund balances, beginning of year	9,206,351	7,979,873
Fund balances, end of year	\$ 5,215,707	\$ 10,048,429

See Notes to Basic Financial Statements.

Capital Projects	Debt Service	Nonmajor Student Activity	Total
\$ 2,702,926	\$ 10,946,850	\$ -	\$ 42,429,356
154,079	624,022	-	2,558,332
2,387	9,667	-	37,026
-	-	-	8,459,285
2,792,673	272,293	859,348	5,752,203
6,753,734	165,278	-	44,736,524
2,044,778	-	-	4,011,899
14,450,577	12,018,110	859,348	107,984,625
1,247,028	-	-	37,674,904
-	-	-	10,322,867
-	-	934,208	7,397,787
1,247,028	-	934,208	55,395,558
-	-	-	2,061,800
1,714,308	-	-	5,876,669
-	-	-	9,103,899
276,844	-	-	8,741,417
1,192,545	-	41,269	4,691,563
3,183,697	-	41,269	30,475,348
29,093,522	-	-	29,093,522
-	-	-	2,063,974
-	9,438,633	-	9,438,633
637,820	6,862,064	-	7,499,884
29,731,342	16,300,697	-	48,096,013
34,162,067	16,300,697	975,477	133,966,919
(19,711,490)	(4,282,587)	(116,129)	(25,982,294)
43,000,000	-	-	43,000,000
21,870	-	-	21,870
1,489,306	-	-	1,489,306
854,888	-	-	854,888
1,862	-	-	1,862
-	4,548,733	50,000	4,601,233
(4,548,733)	-	-	(4,601,233)
40,819,193	4,548,733	50,000	45,367,926
21,107,703	266,146	(66,129)	19,385,632
17,823,541	2,416,959	689,390	38,116,114
\$ 38,931,244	\$ 2,683,105	\$ 623,261	\$ 57,501,746

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College Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2025

Net change in fund balances - total governmental funds	\$ 19,385,632
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Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. Capital outlay expenditures and depreciation expense in the year are as follows:

Capital outlay	29,477,370	
Depreciation expense	<u>(11,149,104)</u>	18,328,266
Proceeds from sale of capital assets		(1,862)
Gain on sale of capital assets		1,862

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues, grants	(276,648)
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The change in net position of the internal service funds represents an overcharge to the governmental funds served, and, therefore, decreases expenses in the statement of activities	9,571
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The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of long-term debt increases liabilities in the statement of net position, while the repayment of long-term debt reduced long-term liabilities. In the statement of activities, interest is accrued on outstanding bonds, whereas in the governmental funds an interest expenditures is reported when due. The following is the detail of the net effect of these differences in the treatment of long-term debt and related items:

Issuance of long term debt	(45,344,194)	
Premium on issuance of long term debt	(21,870)	
Repayments of principal	9,438,633	
Amortization of premiums	420,898	
Amortization of deferral on refunding	49,646	
Interest	<u>(139,338)</u>	(35,596,225)

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

Change in compensated absences	348,542	
Change in pension expense and related deferrals	2,754,324	
Change in OPEB expense and related deferrals	<u>48,557</u>	3,151,423

Change in net position of governmental activities	\$ 5,002,019
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See Notes to Basic Financial Statements.

College Community School District

Statement of Net Position

Proprietary Funds

June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Assets		
Current:		
Cash and cash equivalents	\$ 3,866,055	\$ 567,174
Accounts receivable	64,170	393
Inventories	354,993	23,687
Total current assets	4,285,218	591,254
Noncurrent:		
Capital assets, net of accumulated depreciation	747,413	930
Total noncurrent assets	747,413	930
Total assets	5,032,631	592,184
Deferred Outflows of Resources:		
OPEB related deferred outflows	159,258	-
Pension related deferred outflows	512,560	-
Total deferred outflows of resources	671,818	-
Liabilities		
Current:		
Accounts payable	41,184	2,838
Salaries and benefits payable	124,792	-
Unearned revenue	49,329	-
Compensated absences	111,916	-
Due to other funds	411,696	-
Total OPEB liability	35,797	-
Total current liabilities	774,714	2,838
Noncurrent:		
Compensated absences	121,380	-
Net pension liability	1,410,392	-
Total OPEB liability	697,492	-
Total noncurrent liabilities	2,229,264	-
Total liabilities	3,003,978	2,838
Deferred Inflows of Resources:		
OPEB related deferred inflows	571,877	-
Pension related deferred inflows	15,632	-
Total deferred inflows of resources	587,509	-
Net Position		
Investment in capital assets	747,413	930
Unrestricted	1,365,549	588,416
Total net position	\$ 2,112,962	\$ 589,346

See Notes to Basic Financial Statements.

College Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Operating revenues:		
Local sources, charges for services	\$ 4,991,983	\$ 576,017
Miscellaneous	177,254	-
Total operating revenues	5,169,237	576,017
Operating expenses:		
Salaries	4,356,311	-
Benefits	1,153,402	-
Services	89,690	479,949
Supplies	2,565,155	91,638
Depreciation	130,439	620
Total operating expenses	8,294,997	572,207
Operating income (loss)	(3,125,760)	3,810
Nonoperating revenues (expenses):		
State sources	97,238	-
Federal sources	2,382,618	-
Interest on investments	175,363	5,761
Loss on asset held for sale	(50,855)	-
Total nonoperating revenues (expenses)	2,604,364	5,761
Change in net position	(521,396)	9,571
Net position, beginning of year, as restated	2,634,358	579,775
Net position, end of year	\$ 2,112,962	\$ 589,346

See Notes to Basic Financial Statements.

College Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Cash flows from operating activities:		
Cash received from charges for services	\$ 5,777,665	\$ -
Cash received from miscellaneous operating activities	-	117,761
Cash received from employees	-	460,167
Cash payments to employees for services	(5,568,872)	-
Cash payments to suppliers for goods or services	(2,715,191)	(577,136)
Net cash provided by (used in) operating activities	(2,506,398)	792
Cash flows from noncapital financing activities:		
State grants received	97,238	-
Federal grants received	2,147,694	-
Net cash provided by noncapital financing activities	2,244,932	-
Cash flows from capital financing activities, acquisition of capital assets	(187,760)	-
Cash flows from investing activities, interest on investments	175,363	5,761
Net increase (decrease) in cash and cash equivalents	(273,863)	6,553
Cash and cash equivalents, beginning of year	4,139,918	560,621
Cash and cash equivalents, end of year	\$ 3,866,055	\$ 567,174

See Notes to Basic Financial Statements.

(Continued)

College Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (3,125,760)	\$ 3,810
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Commodities consumed	234,924	-
Depreciation	130,439	620
Change in assets and liabilities:		
Inventories	83,801	(5,150)
Accounts receivable	216,427	1,911
Accounts payable	12,930	(399)
Salaries and benefits payable	(15,604)	-
Compensated absences	(1,850)	-
Unearned revenue	(35,039)	-
Increase in OPEB liability and related deferrals	98,063	-
Decrease in net pension liability and related deferrals	(104,729)	-
Net cash provided by (used in) operating activities	\$ (2,506,398)	\$ 792
Noncash:		
Noncapital financing activities:		
Federal commodities	\$ 234,924	\$ -
Due to other funds for land inventory	\$ 61,692	

College Community School District

Statement of Fiduciary Net Position

Fiduciary Funds

June 30, 2025

	<u>Custodial</u>
Assets	
Cash, cash equivalents and investments	\$ 270,908
Other receivables	<u>2,500</u>
Total assets	<u>273,408</u>
 Liabilities,	
Accounts payable	<u>32,178</u>
 Net Position	
Restricted	<u><u>\$ 241,230</u></u>

See Notes to Basic Financial Statements.

College Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Funds

Year Ended June 30, 2025

	<u>Custodial</u>
Additions	
Local sources:	
Donations	<u>\$ 484,389</u>
Deductions	
Administrative expenses	<u>445,563</u>
Change in net position	38,826
Net position, beginning of year	202,404
Net position, end of year	<u><u>\$ 241,230</u></u>

See Notes to Basic Financial Statements.

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College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies

College Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve and special education. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the southern portion of Cedar Rapids, Iowa and the rural areas of southern Linn, northern Johnson, and eastern Benton counties. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, College Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. College Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Linn County Assessors' Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation plus unspent bond proceeds and reduced by outstanding balances for bonds, notes and other debt that are attributed to the acquisition, construction or improvement to those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources that are imposed by management which can be removed or modified.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the nonmajor governmental funds, Capital Project Fund accounts as well as the nonmajor enterprise funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Management Levy Fund is used to account for the payment of property and insurance as well as early retirement incentive obligations owed by the District to retirees from prior fiscal years.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The Debt Service Fund is used for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs.

The District reports the following nonmajor governmental funds:

The Student Activity Fund is utilized to account for the various student run organizations and athletic accounts operating within the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise Funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition: Accounts for the food service operations of the District.

Day Care: Accounts for the day care operations of the District.

Resale: Accounts for the resale operations of the District.

Student Built House: Accounts for the student construction operations of the District.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The Internal Service Funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The internal service funds are charged back to the Governmental Funds and shown combined in the statement of net position and statement of activities. This chargeback is based on a percentage of total employees by the participants' various functional areas. The District has the following internal service funds:

Dental Flexible Benefits: This fund accounts for transactions for certain benefits available to District employees in which the District is responsible for paying all premiums or costs specified by the employee.

Print Shop: This fund accounts for transactions for the print shop operations of the District.

Fiduciary Funds: Fiduciary fund types are used to account for net position and changes in net position. The District has two fiduciary funds which are considered custodial funds:

Foundation: This fund accounts for transactions for the District's foundation accounts.

Parent groups: This fund accounts for transactions for the District's parent group accounts.

Measurement focus and basis of accounting:

The District-wide financial statements, proprietary, and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when the cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under leases and subscription obligations are reported as other financing sources.

Under term of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs, and then general revenues.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise funds are charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value and non-negotiable certificates of deposit which are stated at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with a 1 1/2 % per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2024.

Intergovernmental receivables: Intergovernmental receivables represents amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, machinery, equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business-type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and established useful lives in excess of two years.

Asset Class	Estimated Useful Lives
Buildings	50 years
Site improvements	20 years
Equipment/vehicles	5 years
Computers	3 years
Intangibles	5 years

Land is not depreciated. Buildings, land improvements, machinery and equipment and intangibles, if any, are depreciated/amortized using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Amount
Buildings	\$ 10,000
Site improvements	10,000
Equipment/vehicles	5,000
Computers	5,000
Intangibles	100,000

Leases: The District is a lessee for noncancellable leases of equipment and buildings. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements. .

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into contracts that convey control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Deferred outflows of resources: Deferred outflows of resources represent a consumption of net assets that applies to a future year(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense and other postemployment benefit expense and contributions from the employer after the measurement date but before the end of the District's reporting period.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the College Community School District's actuarial report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise, School Nutrition Fund and Daycare Fund.

Salaries and benefits payable: Payroll and related expenditures for contracts corresponding to the current school year, which is payable in July and August, have been accrued as liabilities.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net assets that applies to future year(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current period or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Unavailable revenue in the governmental funds consists of property tax and grants.

Deferred inflows of resources on the Statement of Net Position consists of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied, the unrecognized items not yet charged to pension expense or other postemployment benefit expense, and the deferral on advance refunding.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not yet earned. Unearned revenues are monies collected for meals that have not yet been served.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation, sick leave, and personal leave hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

The District estimates the compensated absences liability for leave benefits that are more likely than not to be used or otherwise paid or settled based on historical information on employees use or payment of the benefits provided. The liability is measured using the pay rates in effect at year-end, the measurement date, and includes salary-related payments that are directly and incrementally associated with the leave liability measurement.

Long-term liabilities: In the District-wide financial statements, long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts are not available for appropriation but are set aside for specific purposes in the District's General Fund. The District's Board of Directors authorizes the Business Manager to assign General Fund balance amounts.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications- assigned and then unassigned fund balances.

Net Position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds of \$30,797,360. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2025 consists of \$403,698 for categorical funding, \$10,048,429 for management levy purposes, \$1,931,071 for physical plant and equipment levy, \$11,054,473 for school infrastructure, \$623,261 for student activities and \$2,791,574 for debt service.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 2. Budgets and Budgetary Accounting

Budgets and budgetary control:

The budgetary comparison and related disclosures are reported as Required Supplementary Information based on the program structure of four functional areas as required by state statute for its legally adopted budget.

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds except internal service funds and custodial funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures.

The District amended the original budget during the fiscal year to increase budgeted expenditures \$4,000,000 for increased costs and capital project expenditures. The District exceeded the budgeted expenditures in the instruction function by \$149,378.

Formal and legal budgetary control for the certified budget is based upon four major classes of disbursements known as functional areas, not by fund. These four functional areas are instruction, support services, non-instructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The Board of Education follows these procedures in establishing budgetary data reflected in the financial statements:

1. In accordance with the Statutes of the State of Iowa, prior to March 15, the Board Secretary submits to the Board of Education a proposed operating budget for the fiscal year commencing the following July 1. The operating budget includes proposed expenditures or expenses and the means of financing them for the upcoming year, along with estimates for the current year and actual data for the proceeding years. This budget is submitted in summary form, with an administrative control. The legal level of control for the detailed budget is at functional area level.
2. Public hearings are required to be conducted to obtain taxpayer comment.
3. Prior to April 15, the budget is legally enacted through certification by the County Auditor.
4. Management is authorized to transfer budgeted amounts between departments within any functional area; however, any revisions that alter the total expenditures or expenses of any functional area must be approved by the Board of Education.
5. The Board of Education may amend the budget during the year without approval of the Board of Education.
6. Appropriations lapse at the end of each fiscal year.
7. The budget cannot be amended without the approval of the Board of Education.
8. Unexpected budgetary balances lapse at June 30 and are not available to finance expenditures or expenses of the following year.

Note 3. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy as set in state statute limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but that maturities shall be consistent with the needs and use of the District.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 3. Cash and Pooled Investments

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset.

Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2025, the District's investments were as follows:

	Fair Value	Investment Maturities (in Years)				Level Input	Rating	
		<1	1-5	6-10	>10		Standard & Poor	Fitch
Investments Pools, Iowa Schools Joint Investment Trust (ISJIT)	\$ 21,483,349	\$ 21,483,349	\$ -	\$ -	\$ -	N/A	AAAm	N/A
Treasury Bills	18,101,130	18,101,130	-	-	-	2	AA+	AAA
Certificates of deposit	3,400,000	3,400,000	-	-	-	N/A	N/A	N/A
	<u>\$ 42,984,479</u>	<u>\$ 42,984,479</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>			

At June 30, 2025, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund which are valued at amortized cost of \$21,483,349 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet its anticipated cash requirements. The District does not have a policy specific to concentration of credit risk. At June 30, 2025, the District had no investments subject to concentration of credit risk.

Custodial credit risk: For deposits, this is the risk that in the event of bank failure, the District's deposits may not be returned. For an investment this is the risk that in the event of failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession not an outside party. The District's deposits in banks at June 30, 2025 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure that will be no loss of public funds. The District's investments are held in the name of the District and are not exposed to custodial credit risk.

Restricted: Restricted cash, cash equivalents and investments is comprised of \$4,628,092 for debt service reserves in the Capital Projects Fund and \$1,310,000 with a fiscal agent from an advance levy for future debt service.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 4. Interfund Transactions

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

	Transfers In	Transfers Out
Major Funds:		
General	\$ 2,500	\$ 50,000
Management Levy Fund	-	2,500
Capital Projects Fund	-	4,548,733
Debt Service Fund	4,548,733	-
Nonmajor governmental fund, student activity	50,000	-
	<u>\$ 4,601,233</u>	<u>\$ 4,601,233</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. The transfer from the Capital Projects Fund to the Debt Service Fund is to transfer sales tax revenue for debt principal and interest payments. The transfer from the General Fund to the nonmajor governmental fund is for safety equipment.

The detail of interfund receivables and payables at June 30, 2025 is as follows:

	Due From	Due To
Major fund, General Fund	\$ 300,000	\$ -
Major fund, Capital Projects Fund	111,696	-
Nonmajor enterprise fund, Student Built House Fund	-	411,696
	<u>\$ 411,696</u>	<u>\$ 411,696</u>

The interfund receivable to the General Fund and Capital Projects Fund is for expenses related to a house that was built by the students to be sold.

Note 5. Capital Assets

Capital asset activity for the business-type activities for the year ended June 30, 2025 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business-type activities:				
Furniture and equipment	\$ 2,647,003	\$ 187,760	\$ 26,439	\$ 2,808,324
Less accumulated depreciation	1,956,911	130,439	26,439	2,060,911
Business-type activities capital assets, net	<u>\$ 690,092</u>	<u>\$ 57,321</u>	<u>\$ -</u>	<u>\$ 747,413</u>

College Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2025

Note 5. Capital Assets (Continued)

Capital assets activity for the governmental activities for the year ended June 30, 2025 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 9,477,926	\$ -	\$ -	\$ 9,477,926
Construction in progress	30,096,106	24,561,836	35,496,924	19,161,018
Total capital assets not being depreciated/amortized	39,574,032	24,561,836	35,496,924	28,638,944
Capital assets being depreciated/ amortized:				
Improvements other than buildings	17,469,769	434,886	-	17,904,655
Buildings	247,767,655	36,431,333	-	284,198,988
Furniture and equipment	10,311,955	2,056,933	653,751	11,715,137
Intangible right-to-use IT subscription	282,833	-	259,470	23,363
Intangible right to use lease asset	207,550	1,489,306	207,550	1,489,306
Total capital assets being depreciated/amortized	276,039,762	40,412,458	1,120,771	315,331,449
Less accumulated depreciation and amortization for:				
Improvements other than buildings	10,493,140	735,984	-	11,229,124
Buildings	64,497,665	9,391,565	-	73,889,230
Furniture and equipment	6,816,413	772,561	653,750	6,935,224
Intangible right-to-use IT subscription	213,505	59,173	259,471	13,207
Intangible right to use lease asset	166,040	190,441	207,550	148,931
Total accumulated depreciation and amortization	82,186,763	11,149,724	1,120,771	92,215,716
Total capital assets being depreciated/amortized, net	193,852,999	29,262,734	-	223,115,733
Governmental activities capital assets, net	\$ 233,427,031	\$ 53,824,570	\$ 35,496,924	\$ 251,754,677

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 5. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:

Instruction:

Regular	\$	101,987
Other		5,829

Support services:

Instructional staff		14,027
Administration		49,546
Operation and maintenance of plant		65,100
Transportation		718,400

Unallocated depreciation		10,194,835
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Total governmental activities depreciation and amortization expense	\$	11,149,724
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Business-type activities:

Nonmajor enterprise funds:

School Nutrition	\$	108,056
Day Care		22,267
Resale		116

Total business-type activities depreciation expense	\$	130,439
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Note 6. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2025 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 112,900,000	\$ 43,000,000	\$ 6,775,000	\$ 149,125,000	\$ 6,695,000
Premiums on general obligation bonds	4,092,423	21,870	386,806	3,727,487	-
Revenue bonds	50,280,000	-	1,280,000	49,000,000	1,310,000
Premiums on revenue bonds	572,668	-	34,092	538,576	-
Private placement, revenue bonds	6,719,000	-	1,115,000	5,604,000	1,150,000
Equipment note	100,785	854,888	100,784	854,889	295,390
Lease obligation	43,114	1,489,306	162,753	1,369,667	109,935
IT subscription obligation	10,587	-	5,096	5,491	5,491
Early retirement	413,943	405,850	413,943	405,850	405,850
Compensated absences	8,413,711	-	348,542	8,065,169	4,677,798
Total	\$ 183,546,231	\$ 45,771,914	\$ 10,622,016	\$ 218,696,129	\$ 14,649,464
Business-type activities:					
Compensated absences	\$ 235,146	\$ -	\$ 1,987	\$ 233,159	\$ 111,916

Compensated absences, net pension liability, total OPEB liability, lease obligations and IT subscription obligations are generally liquidated from the General Fund and Debt Service Fund for governmental activities and the respective enterprise fund for business-type activities.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

General Obligation Bonds:

As of June 30, 2025, the District had the following general obligation bonds:

Series	Interest Rate	Principal Maturities	Maturity	Original Amount	Outstanding Balance
2018A	3.25-3.50%	\$80,000-\$4,340,000	June 1, 2038	\$ 9,995,000	\$ 9,090,000
2019	5.00%	\$340,000-\$1,820,000	June 1, 2038	9,505,000	9,505,000
2020	3.00%	\$370,000-\$7,000,000	May 1, 2040	56,030,000	35,505,000
2021A	2.00%	\$735,000-\$1,965,000	June 1, 2040	26,000,000	22,560,000
2021B	1.50-1.85%	\$40,000-\$1,300,000	June 1, 2036	8,250,000	7,605,000
2022A	2.00%	\$225,000-\$3,905,000	June 1, 2027	5,595,000	4,170,000
2022B	3.00%	\$80,000-\$3,750,000	June 1, 2036	9,995,000	9,915,000
2022C	3.00-3.25%	\$5,000-\$1,780,000	June 1, 2033	9,895,000	8,315,000
2024A	4.0-4.125%	\$5,000-\$8,855,000	June 1, 2044	40,000,000	39,460,000
2024B	4.38%	\$3,000,000	June 1, 2044	3,000,000	3,000,000
				<u>\$ 178,265,000</u>	<u>\$ 149,125,000</u>

On May 7, 2018, the District issued \$9,995,000 of General Obligation School Bonds, Series 2018A. The proceeds of the issue were used for remodel projects on the High School and Elementary Schools.

On January 3, 2019, the District issued \$9,505,000 of General Obligation School Bonds, Series 2019. The proceeds of the issue were used for remodel projects on the High School and Elementary Schools.

On April 22, 2020, the District issued \$56,030,000 of General Obligation School Refunding Bonds, Series 2020. The proceeds of the issue were used to refund \$29,740,000 of outstanding maturities of the District's General Obligation School Bonds, Series 2012C, Series 2013, and Series 2014. The remaining proceeds were used for a completion of school infrastructure projects.

The District issued \$26,000,000 General Obligation School Bonds, Series 2021A on April 22, 2021. The bonds were issued to finance a new 5th and 6th grade building and to improve various other school buildings in the District.

The District issued \$8,250,000 General Obligation School Refunding Bonds, Series 2021B on May 4, 2021. The bonds were issued to current refund the District's \$8,300,000 General Obligation School Bonds Series 2016A.

On April 27, 2022, the District issued \$5,595,000 General Obligation School Refunding Bonds, Series 2022A. The bonds were issued to current refund the Series 2016B General Obligation Bonds.

On May 26, 2022, the District issued \$9,995,000 General Obligation School Refunding Bonds, Series 2022B. The bonds were issued to current refund \$9,940,000 principal of the Series 2017 General Obligation Bonds.

On May 26, 2022, the District issued \$9,895,000 General Obligation School Refunding Bonds, Series 2022C. The bonds were issued to current refund \$9,765,000 principal of the Series 2017 General Obligation Bonds.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

On July 8, 2024, the District issued \$40,000,000 General Obligation Schools Bonds (Qualified 501c(3)), Series 2024A and \$3,000,000 General Obligation School Bonds, Series 2024B. The bonds are being issued to build, furnish and equip a swimming pool and wellness center facility, a concession stand and ticket booth addition to John Wall stadium and improvements to Prairie Creek Intermediate. Bond principal, ranging from \$140,000 to \$8,855,000, is due annually on June 1 commencing June 1, 2025 until maturity on June 1, 2044. Interest rates range from 4.0 to 10.0 percent and interest is due each June 1 and December 1 commencing December 1, 2025.

Details of the District's June 30, 2025 general obligation bonded indebtedness maturities are as follows:

Year Ending June 30	General Obligation Bond Total		
	Interest Rate	Principal	Interest
2026	2.00-3.25	\$ 6,695,000	\$ 4,871,463
2027	2.00-3.25	6,905,000	4,661,488
2028	2.00-5.00	6,585,000	4,452,213
2029	2.00-5.00	6,630,000	4,217,938
2030	1.50-5.00	6,830,000	4,013,013
2031-2035	2.00-5.00	37,595,000	16,551,688
2036-2040	2.00-5.00	42,835,000	10,647,406
2041-2044	4.00-4.375	35,050,000	3,380,425
Total		\$ 149,125,000	\$ 52,795,634

School Infrastructure Sales, Services and Use Tax Bonds:

As of June 30, 2025, the District has the following revenue bonds:

Series	Interest Rate	Principal Maturities	Maturity	Original Amount	Outstanding Balance
2017	2.41%	\$500,000	June 1, 2027	\$ 5,000,000	\$ 1,000,000
2021	2.00%	\$310,000-\$610,000	June 1, 2040	9,000,000	7,500,000
2020A	2.0-2.50%	\$360,000-\$610,000	June 1, 2040	9,000,000	7,500,000
2023	4.0-4.125%	\$1,640,000-\$3,955,000	June 1, 2043	33,000,000	33,000,000
				56,000,000	49,000,000
Private Placement:					
2020	2.045%	\$944,000-\$1,718,000	June 1, 2029	11,780,000	5,604,000
				\$ 67,780,000	\$ 54,604,000

On December 19, 2017, the District issued \$5,000,000 in School Infrastructure Sales, Services and Use Tax Bonds, Series 2017. The proceeds of the issue were used for school infrastructure projects, including the construction of an early childhood center.

On February 6, 2020, The District issued \$11,780,000 of School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2020 in a private placement. The proceeds of the issue were used to refund \$7,069,000 of outstanding maturities of the District's School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2019. The remaining proceeds were used to purchase land for future school facilities. The bonds are collateralized by the land purchase.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

On November 10, 2020, the District issued \$9,000,000 School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2020A. The bonds were issued to fund improvements and renovations at Prairie Heights and Prairie Crest school buildings.

On August 17, 2021, the District issued \$9,000,000 School Infrastructure Sales, Services and Use Tax Revenue Bonds Series 2021. The bonds were issued to fund renovations at Prairie Heights and Prairie Crest school buildings.

On April 10, 2023, the District issued \$33,000,000 School Infrastructure Sales, Services and Use Tax Revenue Bonds Series 2023. The bonds were issued to finance renovations at the existing Prairie Creek intermediate building.

Details of the District's June 30, 2025 school infrastructure sales, services and use tax revenue bond indebtedness is as follows:

Year Ending June 30	School Infrastructure Sales, Services and Use Tax Bonds Total			
	Principal		Interest	
2026	\$	1,310,000	\$	1,664,625
2027		1,330,000		1,636,375
2028		860,000		1,607,725
2029		880,000		1,590,524
2030		2,550,000		1,572,925
2031-2035		14,070,000		6,549,425
2036-2040		16,580,000		4,049,019
2041-2044		11,420,000		949,744
Total	\$	49,000,000	\$	19,620,362

Year Ending June 30	Private Placement School Infrastructure Sales, Services and Use Tax Bond, Series 2020			
	Principal		Interest	
2026	\$	1,150,000	\$	114,602
2027		1,185,000		91,084
2028		1,718,000		66,851
2029		1,551,000		31,718
Total	\$	5,604,000	\$	304,255

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds. The bonds were issued for the purpose of financing a portion of the costs of several ongoing projects or to refund prior year revenue bond issuances. The bonds are payable solely from the proceeds of the statewide sales, services, and use tax revenues received by the District and are payable through 2044. The bonds are not general obligations of the District. Annual principal and interest payments on the bonds are expected to require approximately 55 percent of the statewide sales, services, and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$74,528,617. For the current year, \$2,395,000 of principal and \$1,829,679, of interest was paid on the bonds and total statewide sales, services and use tax revenues were \$6,712,925.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds include the following provisions.

1. A reserve fund is established to secure the bonds. The reserve fund must be at least equal to the lesser of 10 percent of the stated principal amount of the bonds, the maximum annual principal and interest coming due, or 125 percent of the average annual principal and interest coming due to the bonds. As of June 30, 2025, the reserve was \$4,628,092.
2. All proceeds from the statewide sales, services and use tax will be retained by the District in District bank accounts and be disbursed to the proper paying agents at the time principal and interest payments are due.
3. Monies in the revenue account are to be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. The required amount to be deposited shall be an equal monthly amount necessary to pay in full the installment of interest coming due on the next interest payment date plus an equal monthly amount necessary to pay in full the installment of principal coming due on the next succeeding principal payment date. Monies in the sinking fund shall be used solely for the purpose of paying principal and interest on the outstanding revenue bonds.

Equipment note: The District entered into equipment notes with Apple Computer, Inc. for computers. Annual principal and interest payments are made from the Debt Service Fund. The computers do not meet the District's capitalization thresholds. The following is a payment schedule for the equipment notes:

Year Ending June 30	Equipment Note		
	Interest Rate	Principal	Interest
2026	1.45	\$ 295,390	\$ 7,247
2027	1.45	292,592	10,046
2028	1.45	132,265	4,795
2029	1.45	134,642	2,419
Total		\$ 854,889	\$ 24,507

Lease Obligations: On July 1, 2020, the District entered into a lease agreement for copiers. The lease required monthly payments of \$3,632 and had an interest rate of 2.0 percent. The lease expired June 1, 2025. In September, 2024, the District entered into a lease agreement for a building. The lease requires quarterly payments ranging from approximately \$43,000 to \$52,000 until June 30, 2034 and has a 2.0 percent interest rate. The following is a payment schedule for the lease obligation:

Year Ending June 30	Building Lease		
	Interest Rate	Principal	Interest
2026	2.00	\$ 109,935	\$ 66,443
2027	2.00	119,130	60,776
2028	2.00	128,865	54,639
2029	2.00	139,170	48,004
2030	2.00	150,074	40,844
2031-2034	2.00	722,493	80,134
Total		\$ 1,369,667	\$ 350,840

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

IT Subscription Obligation: The District has entered into several subscription based information technology arrangements (SBITA). The arrangements expire on June 30, 2026. The details of the arrangements are as follows:

Year Ending June 30	IT Subscription Obligations		
	Interest		
	Rate	Principal	Interest
2026	2.00	\$ 5,491	\$ 110
Total		\$ 5,491	\$ 110

Early retirement: The District offers a voluntary early retirement plan to its certified and classified employees. Eligible employees must be at least age 55 and employees must have completed ten years of continuous service to the District. Employees must complete an application which is required to be approved by the Board of Education. An eligible employee, upon early separation, receives a percentage of pay based on years of eligibility. The amount of early separation pay an eligible employee receives is based on an amount equal to 50 days of pay for classified and 100 days of pay for certified. At June 30, 2025, the District has obligations to 11 participants with a total liability of \$405,850. Actual early retirement expenditures for the year ended June 30, 2025 totaled \$413,943. The cost of early retirement payments is recorded as a liability of the Special Revenue, Management Fund.

Note 7. Pension Plan

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 7. Pension Plan (Continued)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2025 were \$5,217,637.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2025, the District reported a liability of \$20,499,892 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.562952 percent, which was an increase of .001915 from its proportion measured as of June 30, 2023.

College Community School District

**Notes to Basic Financial Statements
Year Ended June 30, 2025**

Note 7. Pension Plan (Continued)

For the year ended June 30, 2025, the District recognized pension expense of \$2,358,584. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,631,194	\$ 12,735
Changes of assumptions	-	287
Net difference between projected and actual earnings on pension plan investments	256,385	-
Changes in proportion and differences between District contributions and proportionate share of contributions	344,758	214,177
District contributions subsequent to the measurement date	5,217,637	-
Total	\$ 7,449,974	\$ 227,199

\$5,217,637 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2026	\$ (2,700,362)
2027	5,010,901
2028	280,680
2029	(605,413)
2030	19,332
Thereafter	-
Total	\$ 2,005,138

There were no non-employer contributing entities to IPERS.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 7. Pension Plan (Continued)

Actuarial assumptions: The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions applied to all periods included in the measurement.

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent per annum, compounded annually, net of investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	3.52%
International equity	13.0%	5.18%
Global smart beta equity	5.0%	4.12%
Core plus fixed income	25.5%	3.04%
Public credit	3.0%	4.53%
Cash	1.0%	1.69%
Private equity	17.0%	8.89%
Private real assets	9.0%	4.25%
Private credit	5.5%	6.62%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 7. Pension Plan (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate –

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 50,306,368	\$ 20,499,892	\$ (4,463,188)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2025, the District reported payables to IPERS of \$0 for legally required employer contributions and \$0 for legally required employee contributions withheld from employee wages which had not yet been remitted to IPERS.

Note 8. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, College Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. This plan provides medical and prescription drug benefits for eligible employees and retirees and their spouses.

Benefits provided: The medical/prescription drug coverage is provided through a self-insured 28E organization plan with Metro Interagency Insurance Program. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees. The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

The full monthly premium rates as of July 1, 2024, for each plan are as shown below:

Rate Tier	HMO Basic	HMO Essential	PPO Choice	PPO Premier
Single	\$ 482	\$ 570	\$ 687	\$ 731
Single plus spouse	988	1,169	1,408	1,499

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	44
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	790
	<u>834</u>

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 8. Other Postemployment Benefits (OPEB) (Continued)

Total OPEB Liability

The District's total OPEB liability of \$10,658,275 was measured as of June 30, 2025 and was determined by an actuarial valuation as of June 30, 2024 rolled forward to June 30, 2025.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2025 roll forward actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	3.00% per annum
Salary increases	3.00% per annum
Discount rate	5.20% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.50% reduced 0.25% per annum until reaching ultimate health care cost trend rate - 5.00%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the RP 2014 annuitant distinct mortality table adjusted to 2006 with MP 2021 generational projection of future mortality improvement. The actuarial assumptions used in the roll forward June 30, 2025 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance at July 1, 2024	\$ 11,221,370
Changes for the year:	
Service cost	726,748
Interest	459,337
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(1,228,862)
Benefit payments	(520,318)
Net changes	(563,095)
Balance at June 30, 2025	\$ 10,658,275

There were no changes as a result of changes in benefit terms. The discount rate was changed from 3.93% to 5.20%.

College Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2025

Note 8. Other Postemployment Benefits (OPEB) (Continued)

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	4.20%	5.20%	6.20%
Total OPEB liability	\$ 11,607,698	\$ 10,658,275	\$ 9,787,462

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	4.50%	5.50%	6.50%
Total OPEB liability	\$ 9,504,471	\$ 10,658,275	\$ 12,023,891

For the year ended June 30, 2025, the District recognized OPEB expense of \$569,824. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 469,385	\$ 3,364,069
Changes of assumptions or other inputs	1,845,421	4,948,088
Net difference between projected and actual investments	-	-
Total	\$ 2,314,806	\$ 8,312,157

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2026	\$ (616,261)
2027	(616,261)
2028	(616,261)
2029	(616,261)
2030	(616,261)
Thereafter	(2,916,046)
	\$ (5,997,351)

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,063,974 for the year ended June 30, 2025 and is recorded in the General Fund.

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by districts will be received directly by the districts and the portion remitted to the AEA will be determined by the services provided to the district. Also, for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

Note 10. Categorical Funding

The District's restricted fund balance for categorical funding at June 30, 2025 is comprised of the following programs:

Program	Amount
Teacher leadership	\$ 312,316
Home school assistance	25,559
Four year old preschool	4,677
Teacher salary supplement	57,043
Early readers	2,296
Other	1,807
Total	\$ 403,698

Note 11. Commitments

The District has entered into contracts totaling \$107,804,430 for various construction projects throughout the District. As of June 30, 2025, costs of \$83,251,871 had been incurred against these contracts. The remaining balance of \$24,552,559 at June 30, 2025 will be paid as work on the projects progresses.

On April 22, 2024, the District entered into a 28E agreement with the Young Men's Christian Association of the Cedar Rapids Metropolitan Area (YMCA). The District is constructing a swimming pool and wellness center on land owned by the District. The facility and land are capital assets of the District. The YMCA will furnish and operate the facility. The District has priority use of the competition pool/diving area and multi-sport area for District-operated activities. Both parties have full use of the facility. The YMCA sets all fees and charges other than for District competition events. For the first five years of operation of the facility, the YMCA shall retain all revenues from the facility. Beginning in year six, the YMCA shall pay 20% of the net profits to the District. The District is required to use the revenue to benefit the facility. The facility is expected to be completed in Spring 2026. The 28E agreement is for a period of ten years commencing July 31, 2024 and terminating July 31, 2034 with automatic five year term renewals unless either party gives written notice within at least 24 months prior to the end of the initial ten year term.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 12. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Cedar Rapids	Urban renewal and economic development projects	\$ 277,686
City of Walford	Urban renewal and economic development projects	1,390

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$17,329.

Note 13. Risk Management

The District is a member of a joint venture with five other local government units. The joint venture, the Metro Interagency Insurance Program (MIIP), was incorporated in 1990 under a joint powers agreement in accordance with Chapter 28E of the Code of Iowa. The program provides services necessary and appropriate for the establishment, operation and maintenance of an insurance program for employee health and medical claims. MIIP is not intended to function as an insurance company for the participants; rather it is a means of combining the administration of claim and obtaining lower insurance rates from commercial insurance. Although premiums billed to the participants are determined on an actuarial basis, ultimate liability for claims remains with the respective participant and accordingly, the insurance risks are not transferred to MIIP. In the event that the member withdraws from MIIP, the withdrawn members continues to be responsible for its share of cost arising from events occurring when it was a participating member.

If the withdrawn member at any time has a negative equity balance, the withdrawn member is immediately liable and obligated to MIIP for that amount.

The participating districts contribute to the self-insurance plan an amount equal to 125% of Wellmark Blue Cross/Blue Shield projections of the rating period. The fund reinsures for stop-loss insurance for claims in excess of \$250,000 per year per individual. An insurance carrier is paid an administrative fee to process the claims.

At June 30, 2025, the District is an active member of MIIP and has a positive equity balance of \$5,240,520. The total premium paid into the plan by all six members from July 1, 2024 to June 30, 2025 was approximately \$52,747,000 of which \$7,047,255 was paid by College Community School District.

MIIP issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to Metro Interagency Insurance Program, 1120 33rd Avenue, SW, Cedar Rapids, Iowa, 52404.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 13. Risk Management (Continued)

In addition, the District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 14. Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statements during the year ended June 30, 2025:

GASB Statement No. 101, *Compensated Absences*, issued June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

The above statements did not have a significant impact to the District except for GASB Statement No. 101 required the District to restate governmental activities, business type activities, nonmajor enterprise funds School Nutrition and Day Care net position.

As of June 30, 2025, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

College Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

GASB Statement No. 105, *Subsequent Events*, issued December 17, 2025, will be effective for the District beginning with its fiscal year ending June 30, 2027. This Statement is intended to enhance consistency in the application of requirements for subsequent events. The Statement defines subsequent events as transactions or other events that occur after the date of the financial reporting statements but before the date the financial statements are available to be issued. The definition of subsequent events in this Statement modifies the subsequent events time frame throughout the GASB literature. Statement No. 105 also clarifies the different types of subsequent events, when note disclosures are required, and the information that should be included in those note disclosures.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Restatement

The District implemented GASB Statement No. 101, *Compensated Absences*, which required the District to restate net position as of June 30, 2024, as follows:

	Governmental Activities	Business-Type Activities	Nonmajor Enterprise Funds	
			School Nutrition Fund	Day Care Fund
Net position June 30, 2024, as previously reported	\$ 65,919,183	\$ 2,865,589	\$ 1,340,488	\$ 1,238,615
Compensated absences previously reported	60,176	3,915	-	3,915
Compensated absences liability, change in accounting principle	(8,413,711)	(235,146)	(141,196)	(93,950)
Net position June 30, 2024, as restated	<u>\$ 57,565,648</u>	<u>\$ 2,634,358</u>	<u>\$ 1,199,292</u>	<u>\$ 1,148,580</u>

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College Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2025**

	Governmental Funds - Actual	Enterprise Fund - Actual	Total Actual
Revenues:			
Local sources	\$ 59,236,202	\$ 5,344,600	\$ 64,580,802
State sources	44,736,524	97,238	44,833,762
Federal sources	4,011,899	2,382,618	6,394,517
Total revenues	107,984,625	7,824,456	115,809,081
Expenditures/expenses:			
Instruction	55,395,558	5,845	55,401,403
Support services	30,475,348	36,661	30,512,009
Non-instructional programs	-	8,303,346	8,303,346
Other expenditures	48,096,013	-	48,096,013
Total expenditures	133,966,919	8,345,852	142,312,771
Excess (deficiency) of revenues over (under) expenditures	(25,982,294)	(521,396)	(26,503,690)
Total other financing sources, net	45,367,926	-	45,367,926
Excess (deficiency) of revenues and other financing sources over (under) expenditures	19,385,632	(521,396)	18,864,236
Balance, beginning of year, as restated	38,116,114	2,634,358	40,750,472
Balance, end of year	<u>\$ 57,501,746</u>	<u>\$ 2,112,962</u>	<u>\$ 59,614,708</u>

See Notes to Required Supplementary Information.

Budgeted Amounts		Final to Actual	
Original	Final	Variance	
\$ 59,679,341	\$ 59,679,341	\$	4,901,461
43,124,379	43,124,379		1,709,383
4,216,760	4,216,760		2,177,757
107,020,480	107,020,480		8,788,601
50,252,025	55,252,025		(149,378)
34,010,846	31,010,846		498,837
7,245,517	9,245,517		942,171
50,911,192	50,911,192		2,815,179
142,419,580	146,419,580		4,106,809
(35,399,100)	(39,399,100)		12,895,410
42,984,774	42,984,774		2,383,152
\$ 7,585,674	\$ 3,585,674	\$	15,278,562

College Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Eight Fiscal Years**

	2025	2024
Total OPEB liability		
Changes for the year:		
Service cost	\$ 726,748	\$ 705,581
Interest	459,337	434,302
Changes of benefit terms	-	-
Differences between expected and actual experience	-	(2,669,614)
Changes in assumptions or other inputs	(1,228,862)	(2,994,050)
Benefit payments	(520,318)	(527,757)
Net changes in total OPEB liability	(563,095)	(5,051,538)
Total OPEB liability - beginning	11,221,370	16,272,908
Total OPEB liability - ending	<u>\$ 10,658,275</u>	<u>\$ 11,221,370</u>
Covered employee payroll	\$ 40,746,629	\$ 39,559,834
Total OPEB liability as a percentage of covered employee payroll.	26.2%	28.4%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the rate. The following are the discount rates used in each period:

5.20% 3.93%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years. Information prior to 2018 is not available.

2023	2022	2021	2020	2019	2018
\$ 1,043,681	\$ 1,013,282	\$ 1,008,737	\$ 979,356	\$ 320,199	\$ 267,096
565,638	529,687	560,248	517,298	415,319	417,740
-	-	-	-	-	-
-	(1,799,135)	-	247,759	347,319	367,187
-	(2,113,419)	1,888,602	235,604	1,241,040	-
(542,406)	(573,182)	(614,375)	(529,346)	(300,754)	(320,089)
1,066,913	(2,942,767)	2,843,212	1,450,671	2,023,123	731,934
15,205,995	18,148,762	15,305,550	13,854,879	11,831,756	11,099,822
\$ 16,272,908	\$ 15,205,995	\$ 18,148,762	\$ 15,305,550	\$ 13,854,879	\$ 11,831,756
\$ 38,279,541	\$ 37,164,603	\$ 37,006,760	\$ 41,802,085	\$ 40,905,540	\$ 39,977,630
42.5%	40.9%	49.0%	36.6%	33.9%	29.6%
3.54%	3.54%	2.16%	3.50%	3.72%	3.72%

College Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability (In Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2025*	2024*	2023*	2022*
District's proportion of the net pension liability	0.562952%	0.561037%	0.571078%	-0.223087%
District's proportionate share of the net pension liability	\$ 20,500	\$ 25,323	\$ 21,576	\$ 770
District's covered payroll	\$ 52,049	\$ 49,363	\$ 46,097	44,664
District's proportionate share of the net pension liability as a percentage of its employee covered payroll	39.39%	51.30%	46.81%	1.72%
Plan fiduciary net pension as a percentage of the total pension liability	92.30%	90.13%	91.40%	100.81%

*The amounts presented for each fiscal year were determined as of June 30 of the preceding year

See Notes to Required Supplementary Information

	2021*		2020*		2019*		2018*		2017*		2016*
	0.549944%		0.552238%		0.550384%		0.554504%		0.566834%		0.556838%
\$	38,632	\$	32,193	\$	34,819	\$	36,607	\$	35,349	\$	27,683
	43,715		42,344		41,420		41,055		40,333		38,427
	88.37%		76.03%		84.06%		89.17%		87.64%		72.04%
	82.90%		85.45%		83.62%		82.21%		81.82%		85.19%

College Community School District

Required Supplementary Information
Schedule of District Contributions (In Thousands)
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2025	2024	2023	2022
Statutorily required contribution	\$ 5,218	\$ 4,904	\$ 4,650	\$ 4,342
Contributions in relation to the statutorily required contribution	(5,218)	(4,904)	(4,650)	(4,342)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 55,362	\$ 52,049	\$ 49,363	\$ 46,097
Contributions as a percentage of covered payroll	9.43%	9.42%	9.42%	9.42%

See Notes to Required Supplementary Information.

2021		2020		2019		2018		2017		2016	
\$	4,209	\$	4,127	\$	3,997	\$	3,699	\$	3,666	\$	3,602
(4,209)		(4,127)		(4,011)		(3,699)		(3,666)		(3,602)	
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	44,664	\$	43,715	\$	42,344	\$	41,420	\$	41,055	\$	40,333
9.42%		9.44%		9.44%		8.93%		8.93%		8.93%	

College Community School District

Notes to Required Supplementary Information Year Ended June 30, 2025

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the fiscal year, the District adopted one budget amendment increasing budgeted expenditures by \$4,000,000 for increased costs for instruction and non-instructional expenses.

The District exceeded the amended budget in the instruction function by \$149,378.

Note 2. Pension Liability

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017
- Adjusted retirement rates
- Lowered disability rates
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

College Community School District

**Notes to Required Supplementary Information
Year Ended June 30, 2025**

Note 2. Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

College Community School District

Schedule of Combining Balance Sheet
Capital Projects Fund - By Account
June 30, 2025

	Capital Projects Fund Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	Total
Assets				
Cash and pooled investments	\$ 5,110,145	\$ 1,951,191	\$ 31,178,345	\$ 38,239,681
Restricted cash and investments	4,628,092	-	-	4,628,092
Receivables:				
Property tax:				
Delinquent	-	11,284	-	11,284
Succeeding year	-	3,017,958	-	3,017,958
Other	8,302	-	-	8,302
Due from other funds	111,696	-	31,404	143,100
Due from other governments	892,318	-	-	892,318
Total assets	\$ 10,750,553	\$ 4,980,433	\$ 31,209,749	\$ 46,940,735
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities				
Accounts payable	\$ 114,591	\$ 44,311	\$ 4,612,875	\$ 4,771,777
Due to other funds	-	31,404	-	31,404
Total liabilities	114,591	75,715	4,612,875	4,803,181
Deferred inflows of resources, unavailable revenue:				
Succeeding year property tax	-	3,017,958	-	3,017,958
Grants	188,352	-	-	188,352
Total deferred inflows of resources	188,352	3,017,958	-	3,206,310
Fund Balances:				
Restricted for:				
Debt service	4,628,092	-	-	4,628,092
School infrastructure	5,819,518	-	26,596,874	32,416,392
Physical plant and equipment	-	1,886,760	-	1,886,760
Total fund balances	10,447,610	1,886,760	26,596,874	38,931,244
Total liabilities, deferred inflows of resources, and fund balances	\$ 10,750,553	\$ 4,980,433	\$ 31,209,749	\$ 46,940,735

College Community School District

Schedule of Combining Revenues, Expenditures and Changes in Fund Balances

Capital Projects Fund - By Account

Year Ended June 30, 2025

	Capital Projects Fund Accounts			Total
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	
Revenues:				
Local sources:				
Property tax	\$ -	\$ 2,702,926	\$ -	\$ 2,702,926
Utility excise tax	-	154,079	-	154,079
Other tax	-	2,387	-	2,387
Other	350,584	72,945	2,369,144	2,792,673
State sources	6,712,925	40,809	-	6,753,734
Federal sources	2,024,316	20,462	-	2,044,778
Total revenues	9,087,825	2,993,608	2,369,144	14,450,577
Expenditures:				
Current:				
Instruction, regular	1,161,003	86,025	-	1,247,028
Support services:				
Instructional staff	725,676	988,632	-	1,714,308
Operation and maintenance of plant services	188,352	88,492	-	276,844
Student transportation	-	1,192,545	-	1,192,545
Capital outlay	2,042,573	3,233,487	23,817,462	29,093,522
Debt service, interest and fiscal charges	-	-	637,820	637,820
Total expenditures	4,117,604	5,589,181	24,455,282	34,162,067
Excess (deficiency) of revenues over (under) expenditures	4,970,221	(2,595,573)	(22,086,138)	(19,711,490)
Other financing sources (uses):				
Issuance of long term debt	-	-	43,000,000	43,000,000
Premium on issuance of long term debt	-	-	21,870	21,870
Issuance of lease	-	1,489,306	-	1,489,306
Issuance of equipment note	-	854,888	-	854,888
Proceeds from sale of capital asset	1,862	-	-	1,862
Transfers in	1,667,327	-	-	1,667,327
Transfers out	(4,332,231)	(216,502)	(1,667,327)	(6,216,060)
Total other financing sources (uses)	(2,663,042)	2,127,692	41,354,543	40,819,193
Net change in fund balance	2,307,179	(467,881)	19,268,405	21,107,703
Fund balance, beginning of year	8,140,431	2,354,641	7,328,469	17,823,541
Fund balance, end of year	\$ 10,447,610	\$ 1,886,760	\$ 26,596,874	\$ 38,931,244

College Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2025

	School Nutrition	Day Care	Resale	Student Built House	Total
Assets					
Current:					
Cash and cash equivalents	\$ 1,241,120	\$ 2,301,877	\$ 198,221	\$ 124,837	\$ 3,866,055
Accounts receivable	63,059	1,111	-	-	64,170
Inventories	34,896	-	-	320,097	354,993
Total current assets	1,339,075	2,302,988	198,221	444,934	4,285,218
Noncurrent:					
Capital assets, net of accumulated depreciation	529,870	216,789	754	-	747,413
Total noncurrent assets	529,870	216,789	754	-	747,413
Total assets	1,868,945	2,519,777	198,975	444,934	5,032,631
Deferred Outflows of Resources					
OPEB related deferred outflows	61,805	97,453	-	-	159,258
Pension related deferred outflows	198,916	313,644	-	-	512,560
Total deferred outflows of resources	260,721	411,097	-	-	671,818
Liabilities					
Current:					
Accounts payable	26,206	11,967	2,852	159	41,184
Salaries and benefits payable	19,106	105,686	-	-	124,792
Unearned revenue	49,329	-	-	-	49,329
Compensated absences	67,868	44,048	-	-	111,916
Due to other funds	-	-	-	411,696	411,696
Total OPEB liability	13,892	21,905	-	-	35,797
Total current liabilities	176,401	183,606	2,852	411,855	774,714
Noncurrent:					
Compensated absences	73,523	47,857	-	-	121,380
Net pension liability	547,347	863,045	-	-	1,410,392
Total OPEB liability	270,684	426,808	-	-	697,492
Total noncurrent liabilities	891,554	1,337,710	-	-	2,229,264
Total liabilities	1,067,955	1,521,316	2,852	411,855	3,003,978
Deferred Inflows of Resources					
OPEB related deferred inflows	221,935	349,942	-	-	571,877
Pension related deferred inflows	6,067	9,565	-	-	15,632
Total deferred inflows of resources	228,002	359,507	-	-	587,509
Net Position					
Investment in capital assets	529,870	216,789	754	-	747,413
Unrestricted	303,839	833,262	195,369	33,079	1,365,549
Total net position	\$ 833,709	\$ 1,050,051	\$ 196,123	\$ 33,079	\$ 2,112,962

College Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position
Nonmajor Enterprise Funds
Year Ended June 30, 2025

	School Nutrition	Day Care	Resale	Student Built House	Total
Operating revenues:					
Local sources:					
Charges for services	\$ 1,632,828	\$ 3,330,828	\$ 28,327	\$ -	\$ 4,991,983
Miscellaneous	9,624	11,350	156,280	-	177,254
Total operating revenues	1,642,452	3,342,178	184,607	-	5,169,237
Operating expenses:					
Salaries	1,500,090	2,846,317	9,904	-	4,356,311
Benefits	452,956	698,775	1,671	-	1,153,402
Services	11,512	24,313	53,865	-	89,690
Supplies	2,196,475	234,880	128,217	5,583	2,565,155
Depreciation	108,056	22,267	116	-	130,439
Total operating expenses	4,269,089	3,826,552	193,773	5,583	8,294,997
Operating (loss)	(2,626,637)	(484,374)	(9,166)	(5,583)	(3,125,760)
Nonoperating revenues (expenses):					
State sources	23,078	74,160	-	-	97,238
Federal sources	2,172,277	210,341	-	-	2,382,618
Interest on investments	65,699	101,344	8,320	-	175,363
Loss on asset held for sale	-	-	-	(50,855)	(50,855)
Total nonoperating revenues (expenses)	2,261,054	385,845	8,320	(50,855)	2,604,364
Change in net position	(365,583)	(98,529)	(846)	(56,438)	(521,396)
Net position, beginning of year, as restated	1,199,292	1,148,580	196,969	89,517	2,634,358
Net position, end of year	<u>\$ 833,709</u>	<u>\$ 1,050,051</u>	<u>\$ 196,123</u>	<u>\$ 33,079</u>	<u>\$ 2,112,962</u>

College Community School District

Combining Statement of Cash Flows
Nonmajor Enterprise Funds
Year Ended June 30, 2025

	School Nutrition	Day Care	Resale	Student Built House	Total
Cash flows from operating activities:					
Cash received from charges for services	\$ 1,859,818	\$ 3,341,067	\$ 184,779	\$ 392,001	\$ 5,777,665
Cash payments to employees for services	(2,080,767)	(3,476,530)	(11,575)	-	(5,568,872)
Cash payments to suppliers for goods or services	(1,963,315)	(252,310)	(182,500)	(317,066)	(2,715,191)
Net cash provided by (used in) operating activities	(2,184,264)	(387,773)	(9,296)	74,935	(2,506,398)
Cash flows from noncapital financing activities:					
State grants received	23,078	74,160	-	-	97,238
Federal grants received	1,937,353	210,341	-	-	2,147,694
Net cash provided by noncapital financing activities	1,960,431	284,501	-	-	2,244,932
Cash flows from capital financing activities, acquisition of capital assets	(65,187)	(122,573)	-	-	(187,760)
Cash flows from investing activities, interest on investments	65,699	101,344	8,320	-	175,363
Net increase (decrease) in cash and cash equivalents	(223,321)	(124,501)	(976)	74,935	(273,863)
Cash and cash equivalents, beginning of year	1,464,441	2,426,378	199,197	49,902	4,139,918
Cash and cash equivalents, end of year	<u>\$ 1,241,120</u>	<u>\$ 2,301,877</u>	<u>\$ 198,221</u>	<u>\$ 124,837</u>	<u>\$ 3,866,055</u>

(Continued)

College Community School District

Combining Statement of Cash Flows (Continued)

Nonmajor Enterprise Funds

Year Ended June 30, 2025

	School Nutrition	Day Care	Resale	Student Built House	Total
Reconciliation of operating (loss) to net cash provided by (used in) operating activities:					
Operating (loss)	\$ (2,626,637)	\$ (484,374)	\$ (9,166)	\$ (5,583)	\$ (3,125,760)
Adjustments to reconcile operating (loss) to net cash provided by (used in) operating activities:					
Commodities consumed	234,924	-	-	-	234,924
Depreciation	108,056	22,267	116	-	130,439
Change in assets and liabilities:					
Inventories	426	-	-	83,375	83,801
Accounts receivable	217,366	(1,111)	172	-	216,427
Accounts payable	9,322	6,883	(418)	(2,857)	12,930
Salaries and benefits payable	1,784	(17,388)	-	-	(15,604)
Compensated absences	195	(2,045)	-	-	(1,850)
Unearned revenue	(35,039)	-	-	-	(35,039)
Total OPEB liability	(8,640)	106,703	-	-	98,063
Net pension liability	(86,021)	(18,708)	-	-	(104,729)
Net cash provided by (used in) operating activities	\$ (2,184,264)	\$ (387,773)	\$ (9,296)	\$ 74,935	\$ (2,506,398)
Noncash:					
Noncapital financing activities:					
Federal commodities	\$ 234,924	\$ -	\$ -	\$ -	\$ 234,924
Due to other funds for land inventory	\$ -	\$ -	\$ -	\$ 61,692	\$ 61,692

College Community School District

Combining Statement of Net Position

Internal Service Funds

June 30, 2025

	Dental Flex Benefits	Print Shop	Total
Assets			
Current:			
Cash and cash equivalents	\$ 329,006	\$ 238,168	\$ 567,174
Accounts receivable	-	393	393
Inventories	-	23,687	23,687
Total current assets	329,006	262,248	591,254
Noncurrent:			
Capital assets, net of accumulated depreciation	-	930	930
Total noncurrent assets	-	930	930
Total assets	329,006	263,178	592,184
Liabilities			
Current:			
Accounts payable	-	2,838	2,838
Net Position			
Investment in capital assets	-	930	930
Unrestricted	329,006	259,410	588,416
Total net position	\$ 329,006	\$ 260,340	\$ 589,346

College Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position
Internal Service Funds
Year Ended June 30, 2025

	Dental Flex Benefits	Print Shop	Total
Operating revenues:			
Local sources, charges for services	\$ 460,167	\$ 115,850	\$ 576,017
Total operating revenues	460,167	115,850	576,017
Operating expenses:			
Services	479,949	-	479,949
Supplies	-	91,638	91,638
Depreciation	-	620	620
Total operating expenses	479,949	92,258	572,207
Operating income (loss)	(19,782)	23,592	3,810
Nonoperating revenues:			
Interest on investments	5,761	-	5,761
Total nonoperating revenues	5,761	-	5,761
Change in net position	(14,021)	23,592	9,571
Net position, beginning of year	343,027	236,748	579,775
Net position, end of year	\$ 329,006	\$ 260,340	\$ 589,346

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College Community School District

Combining Statement of Cash Flows

Internal Service Fund

Year Ended June 30, 2025

	Dental Flex Benefits	Print Shop	Total
Cash flows from operating activities:			
Cash received from miscellaneous operating activities	\$ -	\$ 117,761	\$ 117,761
Cash received from employees	460,167	-	460,167
Cash payments to suppliers for goods or services	(479,949)	(97,187)	(577,136)
Net cash provided by (used in) operating activities	(19,782)	20,574	792
Cash flows from investing activities, interest on investments	5,761	-	5,761
Net increase (decrease) in cash and cash equivalents	(14,021)	20,574	6,553
Cash and cash equivalents, beginning of year	343,027	217,594	560,621
Cash and cash equivalents, end of year	<u>\$ 329,006</u>	<u>\$ 238,168</u>	<u>\$ 567,174</u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:			
Operating income (loss)	\$ (19,782)	\$ 23,592	\$ 3,810
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:			
Depreciation	-	620	620
Accounts receivable	-	1,911	1,911
Inventories	-	(5,150)	(5,150)
Accounts payable	-	(399)	(399)
Net cash provided by (used in) operating activities	\$ (19,782)	\$ 20,574	\$ 792

College Community School District

Combining Statement of Net Position

Fiduciary Funds

June 30, 2025

	Custodial Funds		Total
	Foundation	Parent Groups	
Assets			
Cash and cash equivalents	\$ 50,625	\$ 220,283	\$ 270,908
Other receivables	-	2,500	2,500
Total current assets	50,625	222,783	273,408
Liabilities			
Accounts payable	100	32,078	32,178
Net Position			
Restricted	50,525	190,705	241,230
Total net position	\$ 50,525	\$ 190,705	\$ 241,230

College Community School District

Combining Statement of Changes in Fiduciary Net Position

Fiduciary Funds

Year Ended June 30, 2025

	Custodial Funds		Total
	Foundation	Parent Groups	
Additions			
Local sources:			
Donations	\$ 56,422	\$ 427,967	\$ 484,389
Total additions	56,422	427,967	484,389
Deductions:			
Administrative expenses	58,903	386,660	445,563
Total deductions	58,903	386,660	445,563
Change in net position	(2,481)	41,307	38,826
Net position, beginning of year	53,006	149,398	202,404
Net position, end of year	<u>\$ 50,525</u>	<u>\$ 190,705</u>	<u>\$ 241,230</u>

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College Community School District

Schedule of Expenditures of Federal Awards
Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/Program Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Federal Expenditures
U.S. Department of Agriculture:				
Direct:				
Local Food for Schools Cooperative Agreement	10.185	FY25 4911	\$ -	\$ 2,000
Child & Adult Care Food Program	10.558	FY25 4554	-	15,165
Indirect:				
Pass-Through Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY25 4552	-	358,581
National School Lunch Program	10.555	FY25 4553	-	1,460,776
Commodities-DOD (Noncash)	10.555	FY25	-	104,991
Commodities (Noncash)	10.555	FY25	-	129,933
			-	1,695,700
Summer Food Service Program for Children	10.559	FY25 4556	-	70,830
Total Child Nutrition Cluster			-	2,125,111
Equipment Stabilization Grant	10.579	FY25 4011	-	30,000
Total U.S. Department of Agriculture			-	2,172,276
U.S. Department of the Treasury:				
Direct:				
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	FY25 4034	-	188,352
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY25 4501	-	611,889
Special Education Cluster,				
Special Education-Grants to States IDEA, Part B	84.027	FY25 4525	-	7,929 (1)
Career and Technical Education-Basic Grants to States	84.048	FY25 4531	-	41,081
Education for Homeless Children and Youth	84.196	FY25 4565	-	25,000
Title III- English Language Acquisition State Grant	84.365	FY25 4644	-	17,430 (2)
Supporting Effective Instruction State Grants	84.367	FY25 4643	-	100,957
Student Support and Academic Enrichment Program	84.424	FY25 4669	-	42,930
Education Stabilization Fund:				
COVID-19 Rethink K-12 Education Models				
Discretionary Grants	84.425B	FY25 4053	-	5,360
COVID-19 ARP-Elementary and Secondary School				
Emergency Relief Homeless Children and (ARP-HCY)	84.425W	FY25 4044	-	10,000
Total Education Stabilization Fund			-	15,360
Pass-Through Grant Wood Area Education Agency:				
Special Education Cluster,				
Special Education Grants to States (IDEA, Part B)	84.027	FY25 4521	-	230,415 (1)
English Language Acquisition State Grants	84.365	FY25 4644	-	24,317 (2)
Total U.S. Department of Education			-	1,117,308

(Continued)

College Community School District

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/Program Title	Federal Assistance	Pass-Through Entity		
	Listing Number	Identifying Number	Provided to Subrecipients	Federal Expenditures
U.S. Department of Health & Human Services:				
Direct, Headstart Cluster, Headstart	93.600	FY25 4321	\$ -	\$ 109,541
Indirect:				
Pass-Through Iowa Department of Human Services:				
477 Cluster Program:				
Child Care and Development Block Grant	93.575	FY25 4616	-	100,800
Total 477 Cluster Program			-	100,800
Foster Care Title IV-E	93.658	FY25 4623	-	1,519
Total U.S. Department of Health & Human Services			-	211,860
Total			\$ -	\$ 3,689,796

See notes to schedule of expenditures of federal awards.

(1) Total federal assistance listing number 84.027 is \$238,344

(2) Total federal assistance listing number 84.365 is \$41,747

College Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the schedule) includes the federal grant activity of College Community School District under programs of the federal government for the year ended June 30, 2025. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

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College Community School District

Summary Schedule of Prior Audit Findings Year Ended June 30, 2025

Findings		Status	Corrective Action Plan or Other Explanation
Findings Pertaining to Statutory Reporting:			
IV-A-24	The District exceeded the amended budget in the instruction function.	Not corrected.	The District overexpended the instruction program. See response and corrective action plan at IV-A-25.
IV-H-24	The District identified variances in certified enrollment submitted to the state in October 2023.	Not corrected.	Student data changes were not timely communicated to District. See response and corrective action plan at IV-H-25.
IV-I-24	The District identified variances in supplementary weighting submitted to the state in October 2023.	Corrected.	

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Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
College Community School District
Cedar Rapids, Iowa

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of College Community School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated February 16, 2026.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 101.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered College Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of College Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of College Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over financial reporting that might be material weaknesses or significant deficiencies and therefore material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified certain deficiencies in internal control, described in the accompanying Schedule of Findings and Questioned Costs as item 2025-001 that we consider to be a significant deficiency.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether College Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about College Community School District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. The District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

East Moline, Illinois
February 16, 2026



Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

**Independent Auditor's Report on Compliance For Each
Major Federal Program and On Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
College Community School District
Cedar Rapids, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited College Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2025. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, College Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit.
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

East Moline, Illinois
February 16, 2026

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College Community School District

Schedule of Findings and Questioned Costs
Year Ended June 30, 2025

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☒

Yes

☐

None Reported

Noncompliance material to financial statements noted?

☐

Yes

☒

No

Federal Awards

Internal control over major programs:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

• Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐

Yes

☒

No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	Commodities-DOD (Noncash)
10.555	Commodities (Noncash)
10.559	Summer Food Service Program for Children

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒

Yes

☐

No

(Continued)

College Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2025

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

2025-001

Finding: The District has insufficient segregation of duties over the payroll cycle.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The position responsible for processing payroll also has access to the master payroll file which includes access to change pay rates, addresses, and other employee data. This position also creates and submits the direct deposit file to the financial institution. There is no formal review process over payroll changes. The Accounting Supervisor was provided a direct deposit report to compare to the bank statement, but the report was not detailed reviewed and only provided for reconciliation purposes and after the payroll file was submitted to the financial institution.

Cause: Access rights are not limited and there is no formal review process in place for payroll changes.

Effect: Misappropriations of assets or errors could occur and not be detected in a timely basis.

Context: The deficiency is over the payroll processing cycle.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: The position responsible for processing payroll should be segregated from access to change pay rates and employee data within the payroll module. The direct deposit file should be detail reviewed by the Accounting Supervisor prior to being submitted to the financial institution.

We recommend the following:

1. On a routine basis, a position independent from the payroll process should run an Audit Report within VISTA and review any changes to pay rates that have occurred to ensure that all were properly authorized.
2. Prior to the direct deposit file being submitted to the bank, the file and its corresponding payroll reports should be reviewed by a supervisory position otherwise independent from the payroll process. This review should be formally documented by signing the reports and completed prior to the submission to the bank.
3. The District should update their dual confirmation procedures with the banking institution to ensure that the person that is being contacted to confirm the direct deposit file submission is someone independent from the payroll processing.

Response and Corrective Action Plan: The District will review current processes and realign duties to improve internal controls within the design of the payroll cycle.

College Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2025**

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-25

Certified Budget –

Finding: The District exceeded the amended budget in the instruction function.

Recommendation: We recommend the District amend the budget in sufficient amounts to ensure budgeted expenditures are not exceeded.

Response and Corrective Action Plan: The District will amend the budget to ensure budgeted expenditures are not exceeded.

Conclusion: Response accepted.

IV-B-25

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-25

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-25

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-25

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-25

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-25

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

College Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2025

IV-H-25

Certified Enrollment-

Finding: The District identified variances in certified enrollment submitted to the state in October 2024.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-25

Supplementary Weighting – There were no variances in supplementary weighting submitted to the state in October 2024.

IV-J-25

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-25

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely.

IV-L-25

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-25

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District reduced the debt service levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

Beginning balance	\$ 8,140,431
Revenue / transfers in:	
Statewide sales and services tax revenue	6,712,925
Other local sources	350,584
Federal sources	2,024,316
Transfers in	1,667,327
Proceeds from sale of capital asset	1,862
Expenditures/transfers out:	
Transfers out	(4,332,231)
Capital outlay and current expenditures	(4,117,604)
Ending balance	<u><u>\$ 10,447,610</u></u>



College Community School District

Corrective Action Plan
Year Ended June 30, 2025

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
Findings Related to the Basic Financial Statements:				
2025-001	The District has insufficient segregation of duties over the payroll cycle.	See response and corrective action plan at 2025-001.	June 2026	Christie VanWhey
Other Findings Related to Statutory Reporting:				
IV-A-25	The District exceeded the amended budget in the instruction function.	See response and corrective action plan at IV-A-25.	June 2026	Christie VanWhey
IV-H-25	The District identified variances in certified enrollment submitted to the state in October 2024.	See response and corrective action plan at IV-H-25.	June 2026	Christie VanWhey